

The Political Economy of the Spanish Housing Bubble:
1998-2008

Oriol Vallès Codina

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"I don't know what a credit bubble means. I don't even know what a bubble means. These words have become popular. I don't think they have any meaning." Eugene Fama [Cassidy 2010]

"Despite the lack of perfect comparability across different time periods, the conclusion is unmistakable that financial failure has been more extensive and pervasive in the last thirty years than in any previous period." [Kindleberger and Aliber 2011]

"House prices never go down", Spanish popular saying during the 1998-2008 bubble

A specter is haunting Spain – the specter of the economic bubble. After the voracious construction fever that spread all over the country – more houses were built in Spain between 1998 and 2008 than in Germany, Italy, UK and France combined – an economic crisis on an unprecedented scale followed, unleashing a complete social breakdown and threatening the very stability of its institutions. Unemployment, at a record high of 27%, is only curbed by emigration; some estimates calculate that 700,000 people have already left the country since the outbreak of the crisis [Prats 2014]. Politicians also fell prey to the fever and engaged in a construction frenzy of public works: now Spain is home to the second largest high-speed railway and third largest highway networks in the world. Between 1998 and 2008, house prices increased by 180% and mortgage debt triplicated in relation to the GDP. Now over-indebtedness is rampant and delinquency rates are soaring. The massive wave of evictions that ensued – one every nine minutes – is now becoming the everyday reality of the average citizen, taking its toll on the mental health of the population. In contrast to the US, returning the house does not pay off the mortgage debt, so this leaves the evicted families homeless, jobless and with a debt for life.

How could this crisis have occurred? The common view narrates the 1998-2008 bubble as a period of "irrational exuberance" during which "we all lived beyond our means." The implicit conclusion is that now is time for catholic contrition or, in more protestant terms, "austerity." At first sight, the claim appears persuasive, given the staggering over-indebtedness. This depiction is relatively popular, both in the media and in the academic literature [Shiller 2005], usually deployed as empirical basis to refute the neoclassical notion of market efficiency [Fama 1991]. Fama and others reject the very existence of economic bubbles, as they view the notion as theoretically inconsistent: for them, prices merely adjusted efficiently to an exogenous shock to then stabilize.

In this paper I want to critically examine these claims and the very notion of the economic bubble itself. I argue that the disagreement among economists on the phenomenon of the bubble is, in fact, unresolvable using the tools of neoclassical economics. In Kuhn's terms, it constitutes a "scientific anomaly" that lies beyond the scientific paradigm of neoclassical economics, as the existence of bubbles challenges some of its most basic assumptions. These assumptions essentially stem from the prevailing approach in economics, which envisions the economic domain as an atomized market in which rational individuals engage in anonymous, one-shot transactions in the pursuit of their self-interest. Though this is powerful idealization, this approach, predicated on an undersocialized view of human action [Granovetter 1985], critically downplays the role of the social context in enabling and constraining economic rationality. By abstracting from the social relations within which agents are embedded, it is construed to obviate that their rational preferences and the available means to attain them are always socially constituted. It also obviates that agents draw much of the information upon which they form their expectations in the decision-making process from their web of social relations, not from the price mechanism. Without taking into account the social dimension of the economic reality, it is theoretically impossible to evaluate the decisions of the agents in terms of their rationality or irrationality.

Further, I will suggest that the social context of economic processes is not only the institutional framework that acts as a stable social baseline that makes economic transactions possible, as implied by the institutionalist critique. Instead, social context constitutes itself as a space of constant negotiation and intense struggles for power, to the extent that the strategic manipulation of social relations that ensues makes economic transactions more about it than the mere exchange of commodities itself. In sum, my approach will envision the bubble as a social formation, featuring a characteristic political economy.

IRRATIONAL EXUBERANCE OR MARKET EFFICIENCY?

Economic bubbles, conceived as market periods of irrational exuberance in which assets are overvalued, are certainly very elusive, despite its recurring prevalence across time and space [Reinhart and Rogoff 2009]. In times of steadily rising prices, some may claim a bubble is forming, while others will insist that the economic fundamentals for growth remain strong. That was the case of the 1998-2008 Spanish housing bubble [The Economist 2002, The Economist 2006]. The disagreement will linger even after a sudden

drop in prices: the former will see it as the ultimate proof of the bubble's existence, while the latter will attribute the drop to a previously unaccounted exogenous shock. For example, Garber argues that famous early bubbles, the Dutch tulipmania of 1637, the South Sea bubble and the Mississippi bubble of 1720, were actually not such [Garber 2000], which is contested by Thompson [2006]. Economic bubbles are elusive because they count as blatant evidence for the inefficiency of the market, thus contradicting on paper the basic assumption of rationality so common in economic theory. Further, their frequent recurrence since the inception of capitalism and their distinct boom-and-bust pattern also appear at odds with its standard description as mere stochastic fluctuations briefly departing from market rationality.

According to the efficient-market hypothesis (EMH), no overvaluation can be sustained in time because the most sophisticated investors will instantaneously correct any existing deviation in prices [Fama 1991]. Consequently, markets are rational because prices always reflect efficiently all the information available to them [Fama 1991, Fox 2009]. No market trends can take place because investors will quickly recognize them and profit by betting against them, stabilizing the price in the process. According to the EMH, the market is endogenously stable and only fluctuates to exogenous shocks that introduce new information. Consequently, economic bubbles following the unmistakable boom-and-bust dynamics simply cannot form in an efficient market.

Nevertheless, since the coinage of its name in relation to the collapse of the South Sea Company stocks in 1720, many authors have retrospectively identified historical instances of financial instability as bubbles, ranging from the notorious Dutch tulipmania of 1637 to the 2008 Wall Street meltdown, characterized as periods of prevailing folly, mania or irrational exuberance [Shiller 2005, Kindleberger and Aliber 2005, Reinhart and Rogoff 2009]. For Reinhart and Rogoff, each time the investors who ride the upward trend believe that the current moment bears very little similarity with past events (ie "this time is different", which is after all a popular version of the efficient-market hypothesis: no trends are possible) only to be disavowed by the eventual sudden drop in prices. For Kindleberger, contra the EMH "the pattern is biological in its regularity." He draws his descriptive framework on Minsky's ideas, whose financial instability hypothesis (FIH) states contra the EMH that markets are in fact endogenously unstable. Minsky's model, inspired on Irving Fisher's debt-deflation model, identified three distinct speculative phases according to their accumulation of insolvent debt (hedge, speculative and Ponzi) until a "Minsky moment" is reached and the bubble collapses [Minsky 1992].

In order to allow the analytical possibility of a bubble, in principle one must do away with the basic assumption of individual rationality: according to such vision, the market yields an inefficient outcome because economic agents do not make the “right choices.” In this direction, Keynes writes in his seminal book *The General Theory of Employment, Interest and Money* [Keynes 2006]: “most, probably, of our decisions to do something positive, the full consequences of which will be drawn out over many days to come, can only be taken as the result of animal spirits—a spontaneous urge to action rather than inaction, and not as the outcome of a weighted average of quantitative benefits multiplied by quantitative probabilities” [Keynes 2006]. Here Keynes appears to oppose the actual human faculty of logical reasoning (ie procedural rationality in Herbert Simon’s terms) to the so-called animal spirits, that is, psychological and social factors that may cloud the investor’s judgment. Drawing on behavioral economics, Shiller and Akerlof [2009] identify these animal spirits -“people’s ideas and feelings”- as the underlying source of irrational exuberance and therefore financial instability [also Shiller 2005]. Research in behavioral economics has shown that it is very common for economic agents to employ basic rules of thumb and heuristics rather than calculative reasoning, which actually constitutes a cost-effective strategy [Zarri 2009]. Even stock traders in financial markets (which may be the closest to the perfect competitive market of economic theory) say to rely more on intuition than on calculation; they actually regard calculation as a “hindrance for their job” [Zaloom 2003].

Keynes distinguishes between speculation (ie “the activity of forecasting the psychology of the market”, similar to technical or trend analysis in contemporary terms) and enterprise (ie “the activity of forecasting the prospective yield of assets during their whole life”, similar to fundamental analysis in contemporary terms). Both speculation and enterprise may be perfectly rational activities out of logical calculation, but in contrast to the latter the former ultimately relies on second-guessing animal spirits and thus treats it normatively as “not proper”: when speculation dominates over enterprise, financial instability ensues and capital ceases to be directed to the most profitable channels in terms of future yield, which for Keynes is the “proper social function” of the financial market. However, according to the EMH neither enterprise nor speculation can inform the agent of the actual right price of the asset, because the current price is already the right price, as it reflects all the available information. Further, he acknowledges that socially advantageous investment policy must not necessarily be the most profitable: contra neoclassical economics, utility and profit are not perfectly coincidental.

NEOCLASSICAL RATIONALITY AS A HEURISTIC

In fact, behavioral economics does not provide any actual challenge to the neoclassical presumption of economic rationality, which Herbert Simon terms “substantive rationality.” First, Friedman equates profit and self-interest and then uses an evolutionary argument to claim that no investor can sustain indefinitely an irrational behavior (ie one that suffers economic losses), because he will eventually be driven out of the market by the most successful investors (ie the most profit-maximizing). Consequently, for Friedman, if an economic agent still operates in the market, he must be rational precisely because he operates in the market.

Thus, neoclassical rationality is simply defined *post hoc* in a functionalist way as the behavior that is selected by the market. For Friedman, a rational agent is one that maximizes profit, regardless of whether she relies on plain intuition or sophisticated calculation (in contrast to the Keynesian school). But even if the agent did not maximize profit, then it must be some other quantity that she must be maximizing because she is rational – for example, family solidarity or leisure [Prattis 1982]. In the same line of reasoning, for Mauss, agents are not as altruistic as they seem despite the apparent disinterestedness embodied by the gift because they compete to maximize prestige [Mauss 1990]. Therefore, with enough creativity in the mind of the theoretician, the assumption of utility-maximizing rationality can always be preserved intact through proper calibration of the model [Allison and Zelikow 1977]. In other words, such conception refers rather to a useful heuristic for theoretical modeling than an existing human faculty. The theoretician observes the revealed preferences of the agent and then proceeds to build an *ad hoc* theoretical utility model that the agent is maximizing in order to yield the observed result [Cook 1966]. For the revealed preferences approach, behaviors that most people would consider as “irrational” (for example, jumping off a cliff) can in fact be conceptualized as perfectly rational: it only depends on the ingenuity of the modeler. For the neoclassicals, *de gustibus non est disputandum* – “we do not argue about tastes”, just accept them as given [Stigler and Becker 1977].

Though powerful, this formal method implies a very thin idea of rationality and can be subject to criticism in terms of an inherent circularity and tautology, as Prattis argues in his attempt of a synthesis between the formalist and substantivist schools of economic anthropology [Prattis 1982]. For Prattis, “this post hoc reasoning back to a priori assumptions has minimal scientific value as it is not readily subject to falsification” [Prattis

1982]. One can always argue that jumping off a cliff was a rational act, because that is exactly what that person did. However, the neoclassical approach deliberately excludes any critical examination that illuminates *why* this person had such preference. This may be viewed as an act of honesty that refrains from questioning the other's motives or of implicit legitimization of the current social relations that produced such preference (for example, being forced to jump off a cliff).

An analogous critique can be made in relation to Fama's efficient-market hypothesis regarding market rationality. Fama himself acknowledges that market efficiency is not testable per se, but it must be tested jointly with a pricing model [Fama 1991]. By proper calibration of such pricing model, the hypothesis of market rationality can always be preserved intact. Therefore, it is always possible to argue that a bubble - an apparently irrational instance of market behavior- was actually entirely rational merely by introducing a new element in the theoretical pricing model in form of an exogenous shock. This exogenous shock (for example a technological innovation or a change in the institutional framework) introduces new information that the market efficiently integrates and adapts to it, forming a fluctuation in the process. This is basically what Garber argues in relation to early bubbles [Garber 2000]: it depends on the ingenuity of the modeler to find a pricing model according to which the market efficiently adapted to. For this reason, irrational bubbles in stock prices are virtually indistinguishable from rational time-varying expected returns [Fama 1991, Fox 2009].

Either at the individual or at the market levels, neoclassical theoretical models implicitly impose an arbitrary boundary line upon actual reality, drawing an analytical separation between an area in which agents are modeled as employing sophisticated rational calculations to attain their goals and an area in which agents are modeled as behaving in a completely disinterested manner (which the theoretician still fails to integrate in the model). In Bourdieu's words, respectively, a "territory objectively surrendered to the remorseless logic of what Marx calls 'naked self-interest'" and a "sacred" island [that is set aside] miraculously spared by the 'icy water of egoistical calculation' and left as a sanctuary for the priceless or worthless things it cannot assess" [Bourdieu 1977]. In sum, what the formal economic method does is to "frame" rationality [Callon 1998]. In particular, discussing the rationality underlying reciprocal exchange, Bourdieu refers specifically to the time dimension of the exchange between the initial gift and the reciprocal counter-gift, which occurs within a particular time interval. If the time frame (which is imposed by the theoretical model) encompasses the interval so that the

counter-gift occurs within it, then the agent appears to act as a rational maximizer of self-interest. Instead, if reciprocation through the counter-gift does not occur within the time frame, the agent will be conceptualized as utterly disinterested.

If the boundary line separating rationality from irrationality is arbitrarily set by the modeling theoretician so that rational market behavior is in fact factually indistinguishable from irrational exuberance, then why such a heated controversy surrounding economic bubbles? It is because through the subjective calibration of the frame of analysis the theoretician implicitly imposes a strong normative statement regarding economic behavior, in which rational actually means “right” and irrational means “wrong”. When Keynesian theoreticians identify a bubble, it is simply because the market yields an outcome that implicitly they do not desire, generally a deviation from full employment. They appeal to the existence of “irrational” behaviors in the market (for example, speculation instead of enterprise or any evidence coming from behavioral economics) so that agents are modeled to be cognitively unable to make desirable, “right” choices, which inevitably yield such undesirable result in the aggregate. In contrast, thanks to the inherent flexibility in expanding the frame, neoclassical theoreticians can always accept any eventual market outcome as perfectly rational and thus “right”, even though if there was massive starvation or unemployment. Yet in order to move beyond the normative claim underlying both perspectives, one needs to anchor the frame of analysis by reasoning what a proper calibration of the model should be.

THE SOCIAL CONTEXT IS CRITICAL

Is it possible to reconcile then the principle of individual rationality with the idea of an economic bubble? Under the weak form of rational expectations, its concept reduces to the assumption that agents make optimal use of whatever information they have to form their expectations. The critical point here is that the information an agent may have does not exist in the void, but flows through social lines [Burt 1992], that is, the available information crucially depends on the agent’s position within the network of social relations. As Burt notes in his analysis of the social structure of competition, this allows room for strategic behavior by the economic agent directed at attaining a well-structured social network [Burt 1992]. This is well seen in the case of financial markets (where information asymmetries are fundamental for profit-making), to the extent that instead of a contest of individual interests mediated by the price mechanism, these markets are better characterized as the outcome of a collective of traders “obsessed with social networking”

in order to obtain valuable information [Abolafia 2001]. Information is channeled through the lines of webs of social relations with a particular structure. This social structure will then inevitably play a role in determining both supply and demand, as they are affected by the agents' expectations. Economic expectations may also become self-reinforcing within existing cliques in the overall social structure. Such feedbacks may create market behaviors that are endogenously unstable as according to Minsky's financial instability hypothesis.

Further, as Bourdieu notes, neoclassical analysis treats the preferences of the rational agent as merely given (ie exogenous), while instead they are in fact socially endogenous [Bourdieu 2005]: needs, dispositions, tastes and propensities are partly determined by the agent's position in particular social structures such as class, gender, nation or race. This forces a re-definition of the meaning of agency in relation to structure, following Granovetter's argument of the embeddedness of economic rationality within social relations, which goes beyond an under-socialized, over-individualistic view of human action [Granovetter 1985]. According to this perspective, economic action is not distinct from any other kind of social action. The individual's capacity for action –agency– is performed embedded within social structures that discourage certain choices while encouraging others [Granovetter 1973, Ortner 1984, Callon 1998]. Conversely, such social structures are seen to be composed of conceptual and tangible resources available to people depending on their position within them [Ortner 1984]. For Bourdieu, “this means that, against the canonical distinction between ends and means, the field imposes on everyone, *thought to varying degrees depending on their economic position and capacities*, not just the ‘reasonable’ means, but also the ends, of economic action” [Bourdieu 2005, italics are his].

What is the market, then? In contrast to its standard depiction by neoclassical theory (in which agents only engage in atomistic, one-shot interactions out of self-interest), the economic domain displays instead sustained, reciprocal interactions within hierarchies [Williamson 1975], networks [Powell 1990] and even in the “market” itself (ie outside of firms), in which self-interest is much more nuanced [Granovetter 1985, Baker 1990, Uzzi 1997]. What theoretical models actually do (for instance, Williamson's transaction-costs approach) is to *abstract* from the complex myriad of existing social relations that populate the economic realm, at most conceptualizing them in an extremely stylized way – “devoid of specific content, history or structural location” [Granovetter 1985]. What the theoretical model is unable to explain with the logic of self-interest and

abstracting from the social context is then merely set aside as the Bourdieuan “sacred island”. Through the abstraction of methodological individualism that detaches economic rationality from social relations, the social reality of the market is ensconced under a mask of phantom objectivity [Taussig 1980]. In other words, the atomistic market of neoclassical economics is a theoretical mystification that enshrouds and objectifies the existing distinct social relations within the economic domain. The social relations that cannot be made invisible are then forced to be re-framed as epiphenomenal, “undesirable” animal spirits that interfere and affect the judgment of the economic agent.

In an economic bubble agents actually make very rational choices, but their rationality depends critically on their position within the network of social relations. If individual choices appear irrational to the outsider, it is only because the social context is improperly rendered invisible (or homogeneous) by the idea of an atomistic market. In fact, the so-called “emotional phases” of the Kindleberger-Minsky model (mania, panic...) can be related to an underlying social cycle of actions, attributions, and regulatory reactions among participants in the market environment [Abolafia and Kilduff 1988]. By examining the silver crisis of 1980 (initiated by the attempt of the Hunt brothers to corner the market of silver), Abolafia and Kilduff reframe the Kindleberger-Minsky model as a social process of organizing that involves strategic action by speculators, brokers, bankers, media, and regulators. Re-framed as a social construction, the bubble appears as the ultimate outcome of a struggle between competing coalitions, each of them engaged in the promotion of their self-interest [Abolafia and Kilduff 1988]. Likewise, for White [1981] markets are self-reproducing social structures in which tangible cliques of firms evolve social roles from observing each other's behavior.

In sum, decision-making by economic agents (ie their rationality) depends crucially on the actions of their social neighbors, so that social interactions constantly spill over the agents' utility models in a similar manner to the one found in game-theory analysis. This social reflexivity, which appears to be a critical factor underlying the genesis of bubbles [Shaikh 2010] is fundamentally dialectical: with her actions, an agent produces the set of choices that her social neighbors will confront, which subsequently engage in actions that produce other set of choices for other agents. Similar feedbacks occur in Minsky's model regarding expectations. This occurs in a recursive, open-ended fashion that may be envisioned as a reciprocal tit-for-tat, which is a more complex process than the standard game-theory models covering simpler cases with a small number of players. However, evolutionary game theory does consider games involving a

population of decision-making agents, where the frequency of a particular decision (or strategy) taking place may change over time in response to the decisions made by the whole population [Webb 2006]. However, such models in game theory tend not to consider socially structured interactions, implying that everyone can interact with everyone. Such presumption of social anonymity or equal availability of social resources is in contradiction with the principle of the social embeddedness of rationality. Further, even in the case that interactions are assumed to be structured, such structure is fixed by the theoretical model, usually arranged in a two-dimensional array [Nowak 2006]. Instead, the structure of the network of social relations *emerges* along with sustained interactions among distinct agents over time, in a way that individuals eventually acquire (and give up) particular dilemmas of decision-making in relation to their social neighbors, which conform evolving “social roles” or “economic identities” as in White [1981]. An emergent division of labor ensues, which may place (aligned populations of) agents in convergence of interests (alliance), competitive emulation (like in Veblen [2005]) or in contradiction.

For Marx, the fact that in capitalism the means of production are privately owned placed two distinct roles (Marx’s social classes) –the capitalist owners and the proletariat– in social opposition through the wage: in order to maximize profit, capitalists always attempt to cut wages, while workers try to raise them. According to Marx, crisis of overaccumulation ensue when excess supply cannot be sold to the mass of buyers that is impoverished due to wage repression. Further, Abolafia and Kilduff’s analysis of the silver crisis yields a more complex social constellation of interests, where the roles of the populations of agents consist of more than two: speculators, brokers, bankers, media, and regulators.

Please note that even if the first three roles belong to the economic domain, while the last one –regulator– is a political office, the social construction of the bubble puts all of them in relation. In other words, the canonical state-market separation is actually much fuzzier than what is often depicted [Polanyi 2001, Abolafia 2010, Krippner 2011]: rather than a self-regulating (atomistic) market always distorted by state regulations, the economic domain is institutionally configured by an emergent social process subject to trial and error by competing coalitions of interests, constantly spilling over classical institution boundaries¹.

¹ In fact, the former perspective is derived from the laissez-faire, undersocialized conception of economic rationality in the void (and distorted by the state), while the latter takes into account its embeddedness within

If the boundaries of the market are blurred it is because of the above discussed problematic nature of the domain on which economic rationality applies. Human ingenuity can always expand the boundaries of the market by introducing new objects and resources –for instance, family solidarity or leisure [Prattis 1982]- into the sphere of rational calculation, now “captured” by the maximizing logic of self-interest, ie such objects become commodified. Yet this process of detachment from social relations, far from being seamless, is an arena of social dispute, as Polanyi described in his seminal book *The Great Transformation* [Polanyi 2001]. General opinion –ie Bourdieu’s doxa, the “universe of the undiscussed” [Bourdieu 1977]- never takes automatically for granted a particular social resource –such as land or labor- to be a commodity. Contra Gregory [1982], its character as such is then much more socially contested: instead Gregory notes a stark ontological distinction between commodities and gifts on the basis of their alienability from social relations [Gregory 1982]. For Gregory, gift exchange creates relations between subjects exchanging aspects of themselves, while commodity exchange only creates relationships between the objects exchanged.

However, he himself quotes Godelier acknowledging that a particular good may be considered a gift in some social contexts and a commodity in others – which is precisely the case in an economic bubble. In a bubble, the status of the exchanged good is always a matter of social contest and negotiation, critically embedded within the structure of power relations of domination and dependence. In some instances the good in question may be framed as a gift out of goodwill in a relationship of reciprocation, while in others the cold logic of self-interested calculation applies and no reciprocity is forced to be expected. Even when both parts engage in a written contract, all possible contingencies cannot be taken into account, so that it becomes a site of constant litigation and re-negotiation [Granovetter 1985, Callon 1998]. In fact, the most important economic transactions to the agents often occur through social relations, as they require mutual trust [Baker 1990, Uzzi 1997].

For Bourdieu, the act of objectification that commodities suffer ensures precisely the stability of the structure of social relations “without the agents having to recreate them continuously and in their entirety by deliberate action” [Bourdieu 1977]. However, during a bubble the structure of social relations, far from being stable, becomes heavily contested and always evolving. This forces an analysis of the Spanish housing bubble that

social relations.

considers economic capital (commodities) and symbolic capital (ie gifts) to be mutually entangled, belonging to an integral symbolic economy that is better depicted by Mann's overlapping networks of social power [Mann 1984] than by an atomized market: the economic domain comprises struggles for power too [Fligstein 1996, Bowles and Gintis 2007, Fligstein 2012]. Consequently, *potlatch* may be an adequate term to describe an economic bubble, as its dynamics are intimately based on its two central notions according to Mauss, credit² and prestige [Mauss 1990]. His description of the potlatch accurately captures the particular socially embedded, exuberant *rationality* of the bubble: "Consumption and destruction of goods really go beyond all bounds. In certain kinds of potlatch one must expend all that one has, keeping nothing back. It is a competition to see who is the richest and also the most madly extravagant. Everything is based upon the principles of antagonism and rivalry. The political status of individuals in brotherhoods and clans and ranks of all kinds are gained in a 'war of property', conceived as a 'struggle of wealth'" [Mauss 1990].

ECONOMIC BUBBLES IN THE POSTMODERN ERA

While financial instability and debt crises have existed since the early inception of capitalism [Kindleberger and Aliber 2005, Reinhart and Rogoff 2009], the Spanish housing bubble of 1998-2008 appears to belong to a particular subclass of bubbles: credit booms experienced by semiperipheral economies during their process of integration within post-1970s financialized global capitalism, marked by a growing international division of labor [Rodrik 2011]. US policy-makers implemented³ financialization as a response to the economic slowdown of the late sixties [Krippner 2011]. At that time, the US state's efforts to balance coercion and compliance imposed economic costs in the form of a 'fiscal crisis' [O'Connor 1973, Zúñiga and DiMaggio 1990], in which government expenditures outraced revenues and generated chronic deficits that increased public debt. When growth declined beginning in the late 1960s, policy-makers confronted difficult political choices about how to allocate scarce resources between competing social

² Precisely credit in a bubble fluctuates critically between its status as a commodified object (that is, strictly formal, economic credit) and as a social relation based on reciprocation and more prone to flexible negotiation.

³ Krippner discussed on Polanyi's famous dictum in *The Great Transformation*: "laissez-faire may have been planned, but this planning process was an emergent one, subject to trial and error, and not nearly as seamless as it has sometimes been presented" [Krippner 2011].

priorities [Krippner 2010]. For a time, inflation -through an increase in public debt- had offered a means of avoiding these trade-offs, disguising distributional conflicts and financing an expansive state, but this solution became increasingly dysfunctional [Krippner 2010].

For Kalecki, these “contradictions of Keynesianism” that constrained the limitless state-driven expansion of demand lay primarily outside the boundaries of the economy per se, but instead were very political: the growing reluctance of businessmen to concede more power to labor, which had steadily increased as a result of demand-subsidized full employment and the encroachment of the state on the private sector [Brenner 2006]. The expansion of financial credit managed to reduce the virulence of class conflict and quench labor demands by keeping high levels of consumption while repressing wages at the same time so that profit-making was guaranteed. In such regime, the stock market is the main promoter of aggregate demand –instead of the state- so that an increase in consumption comes mainly from foreign savings or credit, but not from any wage increase - what Brenner labels “asset-price Keynesianism” [Brenner 2006]. In the process, the US economy was eventually transformed into a “global surplus recycling mechanism” that had to run huge account and trade deficits in order to absorb global surpluses, ultimately implying the complete upheaval of the postwar Bretton Woods system, during which the US exported its surpluses around the world (mainly Japan and West Germany) [Varoufakis 2011].

The success of US financialization led policy-makers in other economies to curb local class conflict by emulating these policies. In this scenario, national elites proceeded to compete at a global level to open up and make their economies the most attractive to foreign investment, transforming them into “chronic attractors of capital” [Carpintero 2009] by implementing standardized neoliberal recipes, that is, loosening financial controls, keeping inflation at bay, liberalizing trade, stabilizing the currency with respect to an international reserve currency like the dollar (or the euro in the Spanish case), repressing wages, privatizing public firms and creating profit opportunities and expectations of economic growth through international branding and deregulation [López and Rodríguez 2010].

However, such policies eventually create perverse incentives that ultimately generate a bubble [Campbell 2010], featuring easily available credit, the active deregulation of financial markets and the creation of financial innovations with forms of information asymmetry that insiders exploit fraudulently [Abolafia 2010]. The rise in profits

relative to wages, and the rising concentration of household income at the top, produces a large and growing volume of investable funds that tends to exceed the available productive investment opportunities, creating favorable conditions for the development of asset bubbles [Kotz 2009]. As Reinhart and Rogoff point out in their empirical analysis of financial instability along history, the high mobility of international capital unleashed by financialization has been accompanied by a number of international banking crises in form of economic bubbles, not by financial stability [Demirgüç-Kunt and Detragiache 1998, Reinhart and Rogoff 2009]. Accordingly, the inflow of foreign capital tends to precede banking crises [Mendoza and Terrones 2008]. In fact, in most of the post-1970 banking crises, the financial sector had been liberalized five years before, usually less [Kaminsky and Reinhart 1999], as deregulation simultaneously facilitates the access of domestic banks to external credit and encourages riskier lending practices at home [Díaz-Alejandro 1985, Caprio and Klingebiel 1996]. The resulting global scenario is the existence of increasingly volatile, freely moving flows of international capital becoming briefly territorialized in a particular economic region until a crisis ensues and then move on to the next region – what David Harvey labels a “spatio-temporal fix” [Harvey 2003]. When state elites manage to capture the flow of international capital through liberalizing reforms, its economy heats up exacerbating its economic specialization on its most profitable activities until it is eventually “burnt out” and left in tatters, awaiting the next cycle of boom and bust.

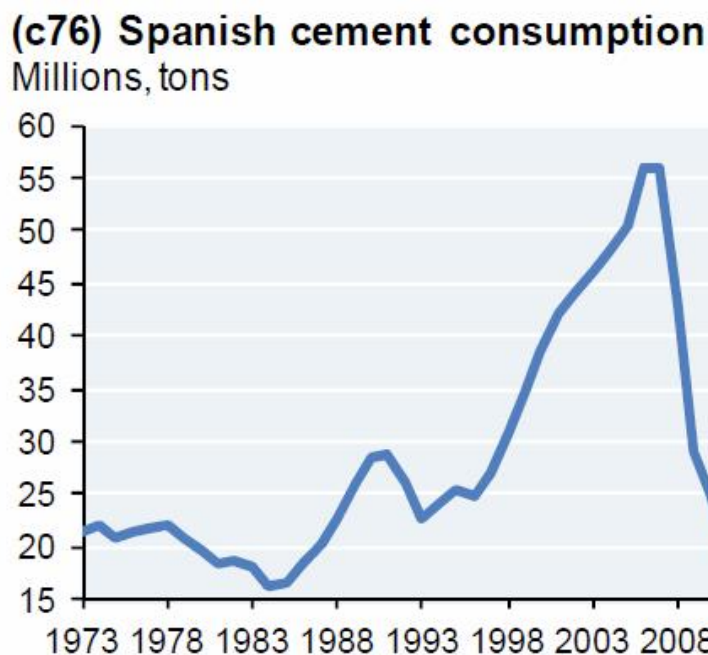


Figure 1: The two bubbles of Spanish democracy: peaks in 1990 and 2006

THE SPANISH 1998-2008 BUBBLE

This was precisely the case of the Spanish housing bubble, which ensued within the process of European economic integration, the third and greatest of its contemporary history (1970-1973, 1985-1992 and 1998-2008). The reforms of Aznar's conservative government -in the direction of the 1992 Maastricht treaty that founded the European Union- managed to attract massive inflows of capital that fueled the housing bubble, which at its peak ran current account deficits at the US level [Carpintero 2009] and practically captured all the liquidity generated by the European core banks [Vergés 2011] at the expense of other economic activities [López and Rodríguez 2010]⁴. The Minsky-like initial displacement that triggered the bubble was the thorough liberalization of land under the *Ley del Suelo* of 1998 (which had already been reformed in a similar direction in 1994) and the large-scale laundering of untaxed pesetas through home purchases in anticipation to the euro [Vergés 2011]. Cheap credit due the low interest rates fixed by the ECB flooded in the Spanish economy: household consumption increased by 91%, the greatest among OECD economies [López and Rodríguez 2010], at the same time that

⁴ Not a coincidence, as construction and tourism had been left the only truly profitable economic sectors after the dismantlement in the eighties of the uncompetitive industry of the Francoist protectionist regime. De-industrialization mainly affected the iron and steel sector, naval construction and the textile, so that its share of the GDP fell from 30 to 13% [Powell 2001].

residential mortgage debt to GDP went from 23 to 62% GDP [EMF 2009]. Between 1996 and 2007, employment rate increased on average at an annual rate of 3% and a cumulative 36%. In particular, the construction sector was employing 12.3% of the population in 2006, in addition to 4% in auxiliary industries and housing stock services. However, real wages remained stagnated since 1993, while capital gains surged at a rate of 73%, compared to the Eurozone average of 33% [Navarro, Tur and Campa 2009] – in sum, a classical example of asset-price Keynesianism, of which Spain had already been an early laboratory in the late eighties [López and Rodríguez 2010, Palomera 2013]. Each wave in form of a bubble exacerbated the tendency of the model to generate more bubbles.

Yet the Spanish population did not succumb to any irrational exuberance that led it to “live beyond their means” like a disorganized mass of atomized economic agents. Instead, the bubble evolved as a socially structured constellation of interests by competing coalitions that reinforced each other, resembling a trickle-down gift economy with a very particular social structure (figure 2)⁵. Through structural reforms legitimated by experts (for example, in Fedea, a foundation primarily funded by banks), politicians managed to capture cheap credit and investment (mostly from European banks) that banks and regional savings banks (*cajas de ahorros*, whose board was elected by regional politicians) distributed to construction firms and developers. Builders and developers paid bribes (Bárcenas, Gürtel or Palau cases) to politicians in exchange of contracts of public works and re-zoning opportunities, respectively. Politicians regulated the housing market in order to make home ownership the optimal means to access a home, through a mortgage given by banks and *cajas de ahorros*. Further, financiers reciprocated the beneficial regulations of politicians through the concession of generous credits that were never re-paid and through the revolving door mechanism, which assigned them a position in the executive board. Further, competitive emulation ensued within each social role.

As we will see, most of the people occupying these social positions did not overstretch in their actions or ambitions, but made their reasonable choices closely embedded within their social context, forming their expectations taking into account all

⁵ In this sense, asset-price Keynesianism resembles the political economy of a rentier state such as the Arab oil-exporting countries [Beblawi 1987, Sajadian 2013], with the main difference being that in the former case the elites within the state relinquish their Keynesian role as main allocators of resources (here out of credit instead of oil) [Krippner 2011].

the information currently at their disposition. However, the social context of each economic agent was at the same time the product of the actions of the other agents, generating a recursive “hyperrational” logic that ultimately resulted in the bubble. The understanding on the status of the flowing goods constantly fluctuated between the exchanging parties, so that a bribe could be considered a gift in some instances or the required money to buy a contract in others. Likewise, a mortgage was regarded as founded on mutual trust between employee and homeowner – a trust that the employee often instigated at the expense of his client, which was exposed when the latter had difficulties to pay his mortgage installments and faced the threat of an eviction.

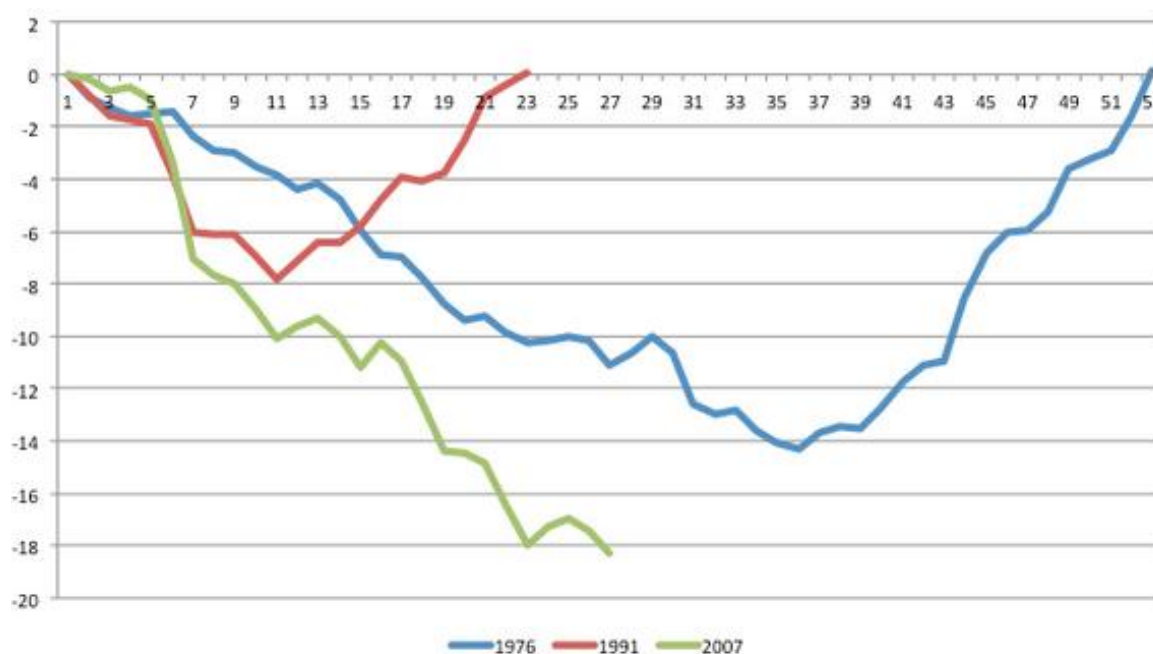


Figure 2: Destruction of employment per term since the outbreak of the 1976, 1991 and 2007 bubble outbursts

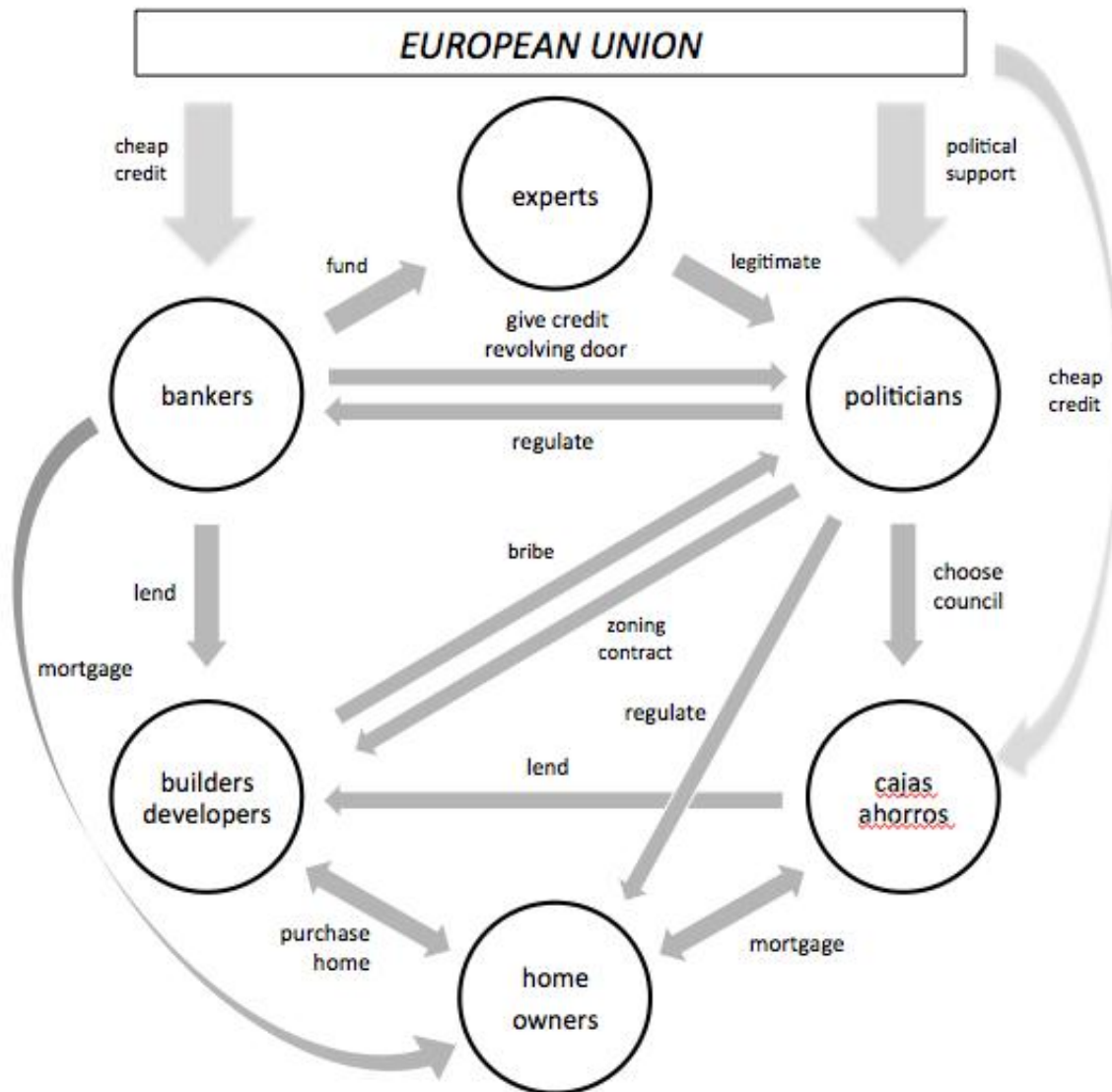


Figure 3: Social architecture of the Spanish bubble

CONSTRUCTION FIRMS AND DEVELOPERS

A professional class of builders and developers, who had a seminal role in the Spanish housing bubble, did not emerge out of the blue in the Spanish economy, but was created by a very proactive set of policies devised by the Francoist state. Because the victorious faction in the Civil War (1936-1939) could not establish a whole regime only through mere coercion, the dictatorship had to consolidate as a “network of interests” (as it is characterized by Sánchez Recio [Sánchez Recio and Tascón 2003]). In this sense, Sánchez Recio’s network of interests involves a gain, multiple interrelated individuals and

circumstantial social solidarity (from horizontal –corporate- to vertical -hierarchical) -in other words, a complex network of social relations (mainly of political clientage) weaved through transactions out of self-interest; in other words, a full-fledged gift economy. If there was no objectification of the gifts into impersonalized commodities, it was precisely because of the actual lack of real hegemony that the regime could not enjoy yet. As Sánchez Recio notes, it is important to distinguish Franco's repayment of favors provided in the Civil War –for example, to the banking sector, which unanimously supported the fascists [Tortella and García Ruiz 2003]- and the network of favors itself that constituted the regime, mainly consisting of multiplex connections between politicians, administration officials and business people at the local or provincial level. Local and provincial councils became then the proper scenario in which establish political alliances, reach economic agreements and secure the commitment to the regime, facilitating the stability and expansion of many third-sector firms providing services to public institutions [Sánchez Recio and Tascón 2003].

Such institutional frame, conceived as a complex network of interests, is perfectly seen in the case of the housing market as established by the Francoist regime, which was later crucial in the economic takeoff of the sixties. The sheer violence of the Civil War had caused an enormous devastation with an inevitable impact on the housing stock, which by 1940 was clearly insufficient, of low quality and dominated by renting (more than a half of the housing stock; up to 90% in the big cities) [Naredo and Montiel Márquez 2011]. In response to the deficiencies in quantity and quality of the housing stock, the new regime gradually established a complex set of political and legislative measures to promote private home ownership and incentivize the private initiative to participate in its construction through a variety of mechanisms, such as fiscal benefits, subsidies, low-interest loans and other political favors: its ultimate goal was to create the proper conditions of profitability to open a new field of capital accumulation [Llordén 2003]. The Spanish housing market of the Francoist era is a prime example in which the state provided the market by buying the land, loaning the capital, paying for the construction, channeling the demand, creating fiscal exemptions and deliberately mis-applying the legal norms and requisites for an urban infrastructure [Palomera 2013].

The tough initial post-war years were characterized by the strong intervention of the Francoist state, as the materials for construction were heavily restricted and distributed according to assigned quotas, raising prices and creating a black market. Private investment had to occur at a large scale, as costs were high and profitability was

low. The traditional housing model based on renting was soon to be replaced by a model in which houses were constructed specifically to be sold and the activity of construction and development became professionalized within a business structure. In other words, housing was turned into a commodity and stopped being the simple mechanism for rent extraction that was to date. In this direction, a new law in 1944 (*decreto ley de viviendas bonificables*, which was renewed in 1948 and 1953) established a system for the protection of middle-class housing, including important benefits aimed at stimulating the investment of private capital. Such benefits occurred in the form of very generous credits whose issuance was at the total discretion of the officials in the administration [Llordén 2003]. For the professional constructor-developer, obtaining a credit was therefore entirely dependent on the social relationship that he maintained with the officials in the administration, creating an ideal field for the concession of favors and gifts in reciprocation. It soon became a very profitable business, in which houses were built with public funds and then sold with huge profit margins. Under the law of Limited-income Housing (1954), the state started to directly subsidize the developers, funding up to 60% of the total value of the new developments [Leal 2005].

The Francoist effort to resolve the problem of house scarcity culminated with the creation of a special ministry in 1957 (*ministerio de la Vivienda*), which was taken over by the Falangist architect José Luis de Arrese. Arrese framed the problem of housing as a problem of public order, considering the individual without a home as a potentially subversive subject [López and Rodríguez 2010, Naredo and Montiel Márquez 2011]. Instead, he clearly stated:

“Queremos un país de propietarios, no de proletarios”

[“We want a country of proprietors, not proletarians”]

In other words, Arrese saw in home ownership a solution to induce citizens into conservatism and thus attain the social peace desired for a regime established through a civil war. Once in the Ministry of Housing, he created institutions devoted to the construction of public housing and affordable renting and established important subsidies, tax deductions and fiscal exemptions to incentivize firms to build housing for their workers. Furthermore, the state ultimately decided to make the construction and development of housing a very profitable activity, giving away generous surpluses by transforming rural into built land (a new Land Law was in force since 1956) and issuing important subsidies and deductions [Naredo and Montiel Márquez 2011]. In the mid-sixties, when the construction sector finally crystallized as a direct source of capital accumulation, it sealed

an alliance with the powerful banking sector under the patronage of the latter, which further increased its leverage on the Spanish society [Llordén 2003]. In addition to the process of growing urbanization, the development of the tourism and construction sectors became closely entangled in the sixties, reinforcing each other and ultimately leading to the first housing boom of contemporary Spanish history between 1970 and 1973. In that period, housing prices escalated as much as in the previous decade, at the same time that each year saw the construction of 400,000 new houses [López and Rodríguez 2011]. As López and Rodríguez note, Francoist housing policies constituted a form of Thatcherism *avant la lettre*, which fully transformed the Spanish market: by 1970, private ownership already accounted for over 60% of housing, 10 points above the UK level [López and Rodríguez 2011]. In spite of the transition into democracy in the seventies, such policies were to be seamlessly prolonged throughout the 1980s in the form of new housing plans (1981-83, 1984-87), although in much smaller numbers [Palomera 2013].

In sum, the Spanish housing market was institutionally developed by the Francoist regime in order to resolve the problem of insufficient, low-quality housing in the aftermath of the civil war, while at the same time exerting a disciplining force on labor. Further, it created ad hoc a professional class of builders and developers that would constitute one of its most ardent sources of social support, trained in a quick-buck culture of the *pelotazo urbanístico* always in close cooperation with political power [Recio 2009, Naredo and Montiel Márquez 2011]. Such set of economic practices would perpetuate without any significant change well beyond the transition into democracy (1975-1978) until crystallizing during the last bubble [Naredo and Montiel Márquez 2011, Colau and Alemany 2012].

Developers

At a local level, the method for surplus extraction through land development is quite simple [Puerto Ducet 2012] and evokes Marx's primitive accumulation: the developer manages to obtain an agreement with the councilperson responsible for urbanism or the mayor of a town with the capacity to rezone land. A partnership is formed that buys rural land for a small price to its owner, who is unaware of its potential profitability. The councilperson rezones the land for building while the company asks for a credit from a *caja de ahorros* many times superior to the price it paid originally. When the land is developed and sold, the generous surpluses are distributed among the parts – developer, public official and regional banker-, while the debt incurred by the bank will be

eventually socialized by the state. As an example, Naredo calculates the surplus generated by the *Ciudad Valdeluz* operation near Madrid, of 367,600,000 m² and 10,000 planned houses, to be 600 M€. In the middle of barren wasteland, the rezoned lands happened to be the property of the family of Madrid's regional president Esperanza Aguirre. The high-speed railway was even deviated with a long curve to put a station there [Naredo 2009]. Naredo estimates that land development in Madrid generated total surpluses of around 200,000 M€, 120% of Madrid's GDP [Naredo 2009]. The construction and development sectors soon became a generous source of tax revenues for the public administration, in particular the local governments, which suffered chronic budget problems: for example, in 2004, 50% and 60% of the budgets of the cities of Madrid and Valencia (respectively) came from tax revenues from these sectors [Colau and Alemany 2012].

One of such *pelotazos urbanísticos* –still under the Francoist regime- is well detailed by Manuel Puerto Ducet, regional director of BANIF during the eighties (an investment bank to be absorbed by Emilio Botín's Banco Santander), who became a privileged witness of the evolution of banking practices of democratic Spain [Puerto Ducet 2012]. Earlier he worked as treasurer of a construction firm, *Construcciones Españolas S.A.*, led by prominent businessmen Josep María Figueras Bassols (eventual president of the Barcelona Chamber of Commerce and its Fair) and Josep Ildefons Suñol, under the informal patronage of the Francoist mayor of Barcelona of the time, Porcioles. Established in the sixties, the satellite city of San Ildefonso (bearing the name of one of the associates, a possible sign of prestige or great ego) was built near Barcelona by *Construcciones Españolas* to host the incoming waves of labor migrants from southern Spain. Each apartment was subsidized by the Ministerio de la Vivienda at 60,000 pesetas per unit (around 10,000 current dollars), its building cost was only 30,000 pesetas per unit and sold at an average price of 175,000 pesetas, therefore generating a generous surplus of 205,000 pesetas per unit (37,000 current dollars) to be re-distributed among the associates and the friendly officials. In order to obtain a subsidy that could double the construction cost, Figueras and Suñol used fraudulently very cheap construction materials instead of the formally approved, while being protected from real detection by Porcioles. Trucks loaded with expensive cement entered through the main access – controlled by a bureaucrat of the Ministerio de la Vivienda- to exit minutes later through a secondary access in direction to the luxury property developments of Figueras and Suñol, while a lower-quality substitute mixed with sand was used, which would yield huge cracks

in the apartments only some years later. Figueras' success in business, like in so many other cases, depended critically on his good relationship with a Francoist high official – Barcelona's mayor Porcioles-, firmly established on mutual reciprocity exchanging easy money (economic capital) for part of it and political support (political capital). During the Francoist regime, surplus was extracted through the state, while during democracy as bank credit.

Bruno Figueras, Josep Maria's son, just continued and refined the practices of the previous generation. Bruno Figueras, MBA in Stanford (a sign of prestige and social credit rather than an actual ability for business, as we will see), took over Habitat, the real estate company founded by his father and Suñol in 1953, and commanded it during the last housing bubble until it declared bankruptcy in November 2008. It was the second greatest bankruptcy in Spanish history, after the failed purchase of the real estate division of Ferrovial (one of the largest construction firms in Spain) for 2,200 M€ in December 2006. For its takeover, Bruno Figueras –enjoying a sophisticated, mildly eccentric appearance “between psychedelic and minimalist” [Cardero 2011]- convinced five members of the Catalan high society⁶ to contribute 25% of the required capital: “It was easy. He is a person that captivates you face to face, a snake charmer. He came with the Ferrovial thing to five dupes like me and we were tricked” according to one of them [Cardero 2011]. With hindsight, Figueras' was clearly a bad decision: the owners of Ferrovial –the Del Pino family- wanted to sell its real estate division at a time that the big banks were already de-leveraging on their real estate investments hearing from the grim perspectives from the US [Barrón], something that the new owners realized just months later for its own grief. However, in 2006 the overall economic prospects –the information available- were still optimistic (as the exorbitant valuation of Ferrovial Inmobiliaria by the N+1 investment bank proves, altogether with the fact that the crash struck Barcelona later than Madrid) and the success of the *señores del ladrillo* (“lords of the brick”) from Madrid was very inviting to emulate. Cardero further hypothesizes many push factors in the operation: Figueras' sudden delusions of grandeur, Habitat's general manager's blind

⁶ They were the Rodés family (founders of Media Planning Group, which merged with Médiapolis in 1998 to create Havas Media, the sixth largest communications group worldwide), Isak Andic (owner of Mango clothing company), Emilio Cuatrecasas (a prominent lawyer), Dolores Ortega (the niece of Inditex's owner) and José Antonio Castro (president of Hesperia Hotels) [Cardero 2011].

obstinacy or the anxious ambition of the mentioned individual investors [Cardero 2011]. For this failed takeover, Figueras was eventually ostracized by Catalan high society and was even sentenced to a year in prison and temporary disqualification due to the death of five employees in a construction in Barcelona. The fates of father and son diverged completely even if both employed similarly dubious business practices: the latter's mistake had truly been that he had betrayed the trust of Catalan high society [Puerto Ducet 2012].

After all, Bruno Figueras' move was the standard practice among the true *señores del ladrillo* that reigned during the Spanish housing bubble, often rags-to-riches stories of ambition that culminated in an ostentatious lifestyle at the peak of the bubble (2003-06), and were to suddenly vanish after the crash. Among them, Enrique Bañuelos stands out as the quintessential Spanish self-made man: born in Valencia, he lost his father at age 9 in a steelworks accident (an industry under dismantlement at the time), studied law and soon learned the intricacies of Valencian land law LRAUV (1994), which allowed land development without its ownership. Because of this, land development practices in Valencia closely resembled primitive accumulation, as small landowners were often practically dispossessed from their land by the joint enterprise of developer and local political power [Naredo and Montiel Márquez 2011]. Bañuelos wisely exploited the Valencian land law to eventually become the third of the 12 Spanish nationals in Forbes' Billionaires Ranking. Bañuelos' real estate group, set up in the Mediterranean region developed around 17,500,000 m², building around 50,000 properties aimed at middle-class buyers as second homes. On May 2006, 26% of Astroc, a merger of his real estate firms (with a value of 750 M€ and whose best asset was a large land property in Mallorca legally impossible to develop), went public at 6.4€ per share. Prices per share went up a 1,100% in less than a year, selling to buyers of the prominence of Amancio Ortega (owner of Inditex and third wealthiest man in the world), Carmen Godia (vice-president of Abertis, one of the largest construction companies in Spain), the Nozaleda family (owners of a business empire based on Nozar, a real estate company) and Caixa Galicia, the Galician *caja de ahorros*. Bañuelos, the soon-to-be paradigm of the excesses of the housing bubble, struck then as a Midas king of real estate, very clever, dynamic, ambitious and extremely self-confident - a natural-born salesman with huge people skills who was able to seduce everyone [del Pozo 2012]. He bought many sumptuous palaces in Madrid and even organized a paella in New York for 25,000 participants in a public relations event and is quoted as saying: "I am left naked in Central Park and in 24 hours I

am on a limousine in Fifth Avenue” [Gómez 2011]. On April 24th 2007, someone still to be known *betrayed* Bañuelos by selling 2 million shares of Astroc, starting a huge drop in its share price from 72€ to a minimum of 2€ and causing the ruin of thousands of small investors. His associates immediately forced him to leave, putting a Banc Sabadell executive in his place, ignorant of the fact that, once again, Bañuelos had won, while Astroc was yet to be revealed to be completely valueless. He then escaped to Brazil, where he managed to dominate its third largest real estate firm⁷.

Another of such stories is Luis Portillo's. A son of a construction worker from Sevilla, with no university studies, very ambitious and bold [Cardero 2011], he started his fortune through “conventional speculation”, always with the close cooperation with local political officials in southern Spain [Gómez 2011]. There he owned a sumptuous mansion and game preserve in a natural park, where he could settle problematic negotiations during hunts, and the Sevilla luxurious Luca de Tena palace where it is said that the fascist general Queipo de Llano planned his role in the civil war [Cardero 2011]. When he was asked how much money he wanted, he always answered: “A bit more” [Cardero 2011]. In 2004 he left for Madrid with generous surpluses to invest, which he initially devoted to help Joaquín Rivero control Metrovacesa (then the 2nd largest developer firm in Spain)⁸ at the expense of the Italian Caltagirone [Gómez 2011]. Then he moved to buy Immocaral, a real estate firm that allowed him to become its main shareholder along prominent members of the Madrid “business establishment”, like the mentioned Amancio Ortega and Rivero, Alicia Koplowitz (Spain's richest woman and in 2009 its fourth fortune) and Rafael del Pino (Ferrovial). He then suddenly overtook his former ally Rivero and Repsol's CEO Brufau to take over Colonial, one of the leading companies in the sector and three times larger than Immocaral, and even entered FCC, a leading Spanish construction firm owned by Alicia Koplowitz's sister Esther. Del Portillo ran all his purchases on credit –spending 4,000 M€ in less than a year- until Colonial owed 10,000 M€. Among his later deeds there is his purchase of a private college for discrepancies with the director and his threat to buy a hotel when he considered his drink had not been properly served [Gómez 2011]. After the crack he simply vanished, leaving all his wealth

⁷ Currently he is the mastermind behind Barcelona World, a “city of leisure and entertainment”, equivalent to its Madrid counterpart Eurovegas of magnate Sheldon Adelson.

⁸ It eventually became the largest publicly traded real estate developer in the Eurozone until June 2007 after a merger of rival firms. Rivero's battle for its control lured the Catalan Sanahuja family into it, initiating a war to the death between them to secure its takeover that the latter won.

in mansions, a jet, a Lamborghini (imported because the model he wanted did not exist in Spain) and a helicopter (to fly over his game preserve) to his creditors, the banks [Cardero 2011].

In contrast, Fernando Hernando “el Pocero”, born in 1945 to a well-digger and a seller of leftovers of a *churrería*, a staunch conservative and ardent supporter of Franco, could never become an insider within the business world, as he featured the worst stereotypes of the Spanish developer: a “man without culture”, of “vulgar tastes” [Gómez 2011], humble origins that he could not disguise, ie without the ability to acquire cultural capital [Gómez 2011]. He started his fortune –to become one of Spain’s largest ten, according to him- by recycling trash and making works in the gutters of Madrid, building his first construction in 1965. In 1974, being 29 years old, he bought his first apartment, where he took the first shower in his life. In 1991 he already lost his wealth during the first bubble in democracy in a large-scale residential project on a land of 3 million m² in Villaviciosa de Odón, Madrid. Outraged because the mayor did not want to rezone the land for development, he confessed: “It is a shameful disgrace that in this country a businessman must invest in politics, as everyone know that I did, in order to make his company work” [SER 2006]. The mayor even denounced death threats and declared him *persona non grata* among bribe accusations. In order to obtain that development project, el Pocero had even run for elections with an *ad hoc* political party that obtained 5 council members. He managed to own the Spanish largest fleet of private jets and luxury cars, along with three yachts, one of them the biggest in Spain [Ugalde 2006] – a clear case of conspicuous consumption. In the last bubble, he had a revelation in the desert: “here you will build a city and you will call it with your name”, the now unfinished large-scale project of Seseña (a town of 13,000 in 2006), with 13,000 houses, a stadium, football fields, a park with his wife’s name and an artificial lake with a pier – for which he confronted the leftist mayor: “The only honest mayor in all Spain! You are a fool” [Malvar 2006].

Behind el Pocero, del Portillo and Bañuelos there are very similar stories: their job as developer requires a high amount of social capital in order to manipulate the social ties that exist in the market to their own benefit. The price mechanism never regulated their activity, but social relations. The three of them appear obsessed to reproduce the lifestyle of the Spanish elites, maybe as a reaction to their humble past – what could be considered a very clear version of Veblen’s competitive emulation and conspicuous consumption rather than an undersocialized, deliberate rational choice.

Construction firms

But Bañuelos, Del Portillo or el Pocero were only new players that intruded into the old game of Spanish capitalism by riding the last real estate bubble: to varying degrees they managed to accumulate enough (economic, political, social) capital to mix with the old members of the Spanish business establishment that had already arrived there in previous waves, among of which the construction capital stands out. Among the 50 largest business groups operating in Spain, seven are construction firms: the “Big Six” are ACS, FCC, Acciona, Ferrovial, OHL, and Sacyr-Vallehermoso [Recio 2009], which in 2006 and 2007 obtained 44.5% and 47.2% of all public work contracts in Spain, respectively, that resulted in a turnover of 9,183 M€ in 2006 and 12,192 M€ in 2007. In all cases (except in Sacyr-V, which formed out of a splinter group from Ferrovial in the eighties) their relation to the Francoist regime is quite obvious, which is expected as the only way to prosper was through key political connections [Recio 2009].

- **ACS**, the leading firm in the sector, with the March family, the “Albertos” and Florentino Pérez as main shareholders. Juan March, prominent banker and patriarch of the family, was intimately connected with the Francoist regime, whose war he generously financed. The “Albertos” are cousins Alberto Cortina and Alberto Alcocer, descendants of Francoist politicians, who married the Koplowitz sisters and profited considerably from their respective divorces. Florentino Pérez, ACS’s head, is now president of Real Madrid and started his political and business career in late Francoism.
- **FCC**, a merger of Fomento de Obras y Construcciones, an old Catalan firm which always held a prominent role in waste management and public works in Barcelona, and Construcciones y Contratas, created in 1952 by Ernesto Koplowitz, a Jewish immigrant who managed to contract for the gutter system of Madrid. His daughter Esther now owns the group, with a minor participation of Alicia.
- **Acciona**, owned by the Entrecanales family, was created before the Civil War and became one of the largest construction firms after it.
- **Ferrovial**, controlled by del Pino family, was created by Rafael del Pino in the sixties when he was director-general of *Vías y Concesiones*, for which he obtained succulent railway contracts.
- **OHL**, controlled by Juan Miguel Villar Mir, former minister and vice-president under late Francoism.

- **Abengoa**, controlled by the Benjumea family from Sevilla since its foundation in 1941.
- **Sacyr Vallehermoso**, the only not to have a relation to Francoism, even though its creation by seven former executives of Ferrovial and Sato was associated with their good relationship with the PSOE government (1982-1996).

With the expansion of the construction sector during the two last bubbles, all these firms have consolidated within contemporary Spanish capitalism through the concentration of capital, its internationalization (first Latin America, then Europe and the US) and its diversification to the provision of any sort of public services, in particular their entrance in the energy sector (which remains an oligopolistic activity regardless of liberalization), but also water, health care and highways (Abertis) [Recio 2009].

Along with the real estate bubble, an additional bubble in public work construction took off in Spain, intimately entangled with the first one. If real estate development was the main activity of the former, the latter was focused on the construction of large-scale projects and public infrastructures, “megaproyectos” [Aguilera and Naredo 2009], also in close cooperation with political officials. As Aguilera notes, “in order to declare a project ‘of general interest’, the claim that it is so by politicians and construction firms suffices” [Aguilera 2009]⁹: politicians assign the contract to a construction firm and in exchange they obtain generous and ever-flowing bribes as an extra salary or as an informal donation for election campaigns (Bárceñas and Palau cases, which I will cover later). Through large-scale projects, construction firms manage to extract large surpluses from the state by systematically underestimating its costs, overestimating its benefits and ignoring its environmental impact [Priemus et al 2008, Aguilera 2009]. Instead of publicizing an objective cost-benefit analysis of the project, marketing operations for the public are implemented, highlighting its emblematic character, complexity, importance of the investment or its urgency to coincide with other big events [Arias 2009].

Florentino Pérez

A recently aired TV interview [Pérez 2014] casts light on one of the most prominent members of the social clique behind the big construction firms, Florentino Pérez, head of ACS and president of Real Madrid soccer club and 15th richest person in

⁹ For Aguilera and Naredo, a significant fact that shows the power exerted by construction firms is that the director of the Economic Office of the Zapatero government from 2006 to 2008, David Taguas, became just later president of Seopan, the lobby of the big construction firms, [Aguilera 2009].

Spain according to Forbes. Pérez declares to be very hard working (“from 8.15am until after later dinner”), an industriousness that he inherited from his father, a typical trait of the tough postwar period that “really conditioned him”. He continues, “I have never worked to earn money – I do not care about it, I do not how to enjoy it. I feel more comfortable working than at the beach. I feel better doing things I believe in.” In other words, he claims not to be led by the profit motive –or instrumental rationality, as a neoclassical economist would expect-, but by an everyday practice of hard work deeply instilled in him by his background, which is closer to a Bourdieuan approach. “I am in the elite of job creation – I cannot do more than devote my life to it”.

He is proud to “have created the leading construction firm in the world, with enough technological muscle to win international biddings”, growing from 70 employees in 1983 to 200,000 and with a current turnover of 39,000 M€ a year. For Pérez, “the politicians, not the president of Real Madrid, are the ones to truly hold power” (as they are the ones who assign public contracts, but fails to acknowledge his own power). He rejects the existence of a bubble in public construction: “Maybe we built too much, but infrastructures are always useful. They may be currently underused, but eventually they will be used for sure”.

The interview covers the issue of the Real Madrid towers, a large-scale development project in Madrid that generated for 500 M€ for the football club in 2001 when land for sport use was rezoned for building in spite of the original urban plan [Arias 2009]¹⁰. At that time, Real Madrid urgently needed the money from the development in order to pay off its huge existing debts [Arias 2009], the same claim made by Matilde Fernández, councilwoman of the town hall (PSOE, social democrats), in the interview. She was staunchly opposed to the rezoning: “One cannot do urban planning à la carte, for the powerful, serving individual interests”. According to Fernández, Pérez tried to convince her in a lunch, arguing that “everyone supports me, you will be left alone”, “Real Madrid is a world-renowned brand” above a government and “Real Madrid members [*socios*] would not understand it” – very subjective arguments far from a cost-benefits analysis which she found to be “improper of a businessman” [Pérez 2014]. Pérez replies, “even members of her own political party tried to convince her that the project was

¹⁰ The project consisted of four 35-floor towers, an Olympic Pavilion (Madrid-Arena) for 18,000 people and a parking lot for 10,000 cars. While the floor area ratio of the original urban plan was 0.3 m²/m², it eventually became 1.7, the highest in Madrid. The development firm *Inmobiliaria Espacio*, of Villar Mir (head of OHL) bought the land to Real Madrid.

beneficial for the city and for football without success. The PP [conservatives] and IU [post communist] were convinced. Even the trade unions were persuaded!" In fact, less than a half of the total surpluses produced by the development went to public institutions, which owned part of the land (the town hall and the regional government) [Arias 2009]¹¹. Pérez does not understand the criticism against the project: "the Towers are now a reason to be proud, an emblem for the city" – always using a line of reasoning based on prestige rather than strict usefulness, as Aguilera and Naredo noted [Aguilera and Naredo 2009].

Further, he claims that he is very concerned about corruption, "like everyone". However, when discussing the alleged bribes to politicians, which include payments by OHL, FCC and ACS (1 M€ from ACS in Bárcenas' accounts), he claims not to know anything but hints that someone in ACS could have done them, not to his knowledge [Pérez 2014]. Further, he defends the controversial labor reform of Rajoy's conservative government: "everyone liked it, the Europeans too [the EU]. I had to reduce the salaries of my executives". Many people interpreted Pérez's claims to be deliberate lies, as Rajoy's labor reform or the Real Madrid towers had been and still are heavily criticized (contra Pérez's claim of the existence of unanimous agreement). However, in this case social structure may impose information asymmetries Pérez is unaware of but critically affect his decision-making. He may act in good faith but is simply unaware of the rationale underlying other views merely because he has no social relations espousing them who might fully explain them to him. The *only* person disagreeing with him with respect to the Real Madrid Towers was the PSOE councilwoman, so that her credibility was already very weak within Pérez's social context. Further, he is in the business sector, so that his social neighbors –yet "everyone" in Pérez's perspective- will tend to have a positive opinion regarding the labor reform, as it has benefited them¹² [Navas 2013]. In contrast, he is only able to explain criticisms against him with a reductionist "Madrid is very big, many attack us because they don't like us".

¹¹ The town hall originally adduced the need for building an Olympic Pavilion for 2012 as the main reason for the development. However, it dropped the Pavilion out of the plan in 2004, leaving the project without any actual justification [Arias 2009]

¹² In addition, he defends Sevilla football club's former president, Del Nido, who has been sentenced to prison for tax evasion, and asks the government's pardon. "He is going to give back the evaded money. According to the Constitution, the prison's function is to rehabilitate. Of course he is, after 11 years!" He appears completely unaware that most of the population suffers a treatment by the justice system that is extremely harsher than the one he asks for del Nido's.

POLITICIANS

During the bubble, Spain became the second country in the world with the largest high-speed railway network (AVE, *Alta Velocidad Española*, only after China), the third largest highway network in the world (after China and the USA) and the first in Europe in number of airports (50 over 18 in Germany). Now only seven of these fifty airports are profitable, many of which are empty or host one flight a week. The whole AVE network in Spain cost 64,000 M€; now 25% of high-speed routes carry on average one passenger a day [Ruiz del Árbol 2013a]. The radial highways around Madrid, devised by Aznar's government, declared bankruptcy and will be bailed out by the state, at a cost for the taxpayer of 2,400 M€. David Taguas, once president of SEOPAN (the lobby of big construction firms) and earlier director of Zapatero's Economic Office, argued in the defense of construction firms that "unexpected factors unconnected to them" made the original cost skyrocket (cost of land expropriation multiplied by ten times, the building cost increased by 30% while actual traffic was only 40% of the expected) [Taguas 2010]. However, this line of reasoning inscribes perfectly in Naredo and Aguilera's equation of systematic overestimation of benefits and underestimation of costs [Aguilera and Naredo 2009].

With hindsight, it appears that Spanish politicians, as the decision-makers behind the construction of infrastructures and municipal rezoning, fell prey to irrational exuberance due to European cheap credit. In this direction, for José María Ezquiaga, an architect specialist in urban planning, the large-scale projects (*macroproyectos* such as public infrastructures, museums, theme parks or sporting arenas) that sprawled in the Spanish landscape constituted a radical alternative to urban planning conceived as "a rational instrument for the construction of the collective good" [Ezquiaga 2009]. In particular, Ezquiaga quotes Bourdieu in order to characterize the symbolic economy of large-scale projects that emerged in bubble-driven Spain, devised by prestigious politicians and architects who happened to be never construed by the standard tedious procedures of a democratic system. In fact, the *macroproyectos* were socially constituted as gifts, "impossible to discuss and evaluate in rational terms", incorporating the marketing language based on an icon or a brand, promising happiness and prestige [Ezquiaga 2009]. For the general public, the most expensive and sumptuous infrastructures constituted, above all, a "source of pride", an "honor for the city", "an

emblem”. Further, Aguilera delves into the technical reasons adduced by the public administration for the construction of many projects only to find that they tend to be completely nonsensical, even though they emulate a rational discourse of costs and benefits [Aguilera 2009]. The “European Union” was often used instrumentally as a source of legitimation for these projects under a fake appearance of neutrality, as its decisions were shaped by the generous donations of lobbies in Brussels [Aguilera 2009].

However, Ezquiaga’s representation underestimates the rationality underlying the symbolic economy of the bubble. First, political decision-makers at all levels of the public administration engaged in a fierce race of competitive emulation and conspicuous consumption, aimed at producing enough prestige through construction in order to outcompete the neighboring cities, provinces or states (which closely resembles the Maussian idea of the *potlatch*). In this direction, Xavier Fageda, professor of economic policy in Barcelona, jokingly claims in a TV documentary that there are only 50 airports because there are 52 provinces in Spain, as if there would be one hundred with twice as many provinces [Évole 2011]. Earlier in the TV show, a passer-by is interviewed in the wasteland left by the Expo 2008 in Zaragoza: “I am very proud. It was a very wise choice. Even if the pavilions are completely empty, because then they are not overcrowded. *I do not change this for anything, not for Madrid, not for Barcelona, not even for Paris* [italics are mine]” [Évole 2011]. In 2003, Álvarez-Cascos, minister of Public Works under Aznar, proclaimed the AVE (high-speed railway) to be the pride of Spain in Europe. In 2008, the heads of Adif and RENFE¹³ declared their pride of the Madrid-Barcelona route. In the inauguration of the Madrid-Valencia high-speed route (2010), the King of Spain declared to be proud of its quality and dimension. In the inauguration of its extension to Girona (2013), prince Felipe put it as an example of “a symbol of progress, efficacy, overcoming and collective pride before the world. It is a model to imitate in the entire world.”

The prestige generated by the construction of public infrastructure in a particular location would eventually secure further investment (towards real estate [Ruiz del Árbol 2013b]) -attracted by the economic activity spurred by it in this peculiar form of Keynesianism. This perpetuated the self-reproducing logic of the bubble and ensured the politicians’ source of power as crucial intermediaries in the flow of capital. However, the megaproject was articulated in public as a grand manifestation of generosity and prestige on the part of the decision-maker, as a full-fledged gift to the location and its population. Just like in the *potlatch*, profitability –the actual usefulness of the infrastructure- was

¹³ Adif and Renfe are state-owned companies in charge of the Spanish railway system.

hardly ever taken into account, as Germà Bel notes, an economist expert in public infrastructure [Évole 2011]. One might be tempted to describe these political decisions as irrational in a goal-means sense but they were not, because usefulness was never the actual goal. Àngel Ros, mayor of Lleida, the closest city to the underused airport of Alguaire, claims: “an infrastructure does not need to be profitable *per se*, but creates wealth because it generates economic activity” [Évole 2011]. Further, Bel adds that the original goal of the AVE network was political: in the mind of president Aznar, the priority was to unify Spain, a country always prone to national tensions.

Just like in the Maussian potlatch, the competitive emulation behind the construction of megaprojects as gifts was not only a matter of prestige, but also of self-interest. As the Bárcenas and Palau cases show, politicians exchanged public contracts for donations from construction firms to their political party. In the Gürtel case, they received gifts in exchange of contracts for events and election campaigns. However, the mask of generosity still persisted, as the extra official flow of money was articulated as a donation or a gift.

Palau

The Palau case broke out in July 2009 when Fèlix Millet, the head of the Fundació Palau de la Música Catalana (Barcelona) between 1990 and 2009 was arrested under the accusation of having fraudulently appropriated 3.3 M€ for his personal use. However, it eventually emerged to the public light that in fact the non-profit foundation had received payments from the construction firm Ferrovial in form of commissions of 4% in the public contracts conceded to it, according to the district attorney [Martínez 2013]. Fèlix Millet and Jordi Montull, the managers of the foundation, received a commission of 1.5%, while the remaining 2.5% went to Convergència Democràtica de Catalunya (CDC), the ruling political party in Catalunya at the time, in a “stable criminal pact” that started at least in 1999 and was prolonged through re-negotiation until 2008 or 2009 [Martínez 2013]. Among the public contracts conceded to Ferrovial, there are the Line 9 of the subway (890 M€), a system of justice buildings (Ciutat de la Justícia, 800 M€), a sports center in Sant Cugat (4 M€) and a project in the bank of the Ebre river (2.6 M€) [Martínez 2013]. The commissions were transferred to CDC through direct delivery to its treasurer (3.7 M€ between 2000 and 2008), fraudulent billing by printing firms and collaboration agreements with CDC’s own foundation, Fundació Trias Fargas [Martínez 2009].

Gürtel

In February 2009, the Gürtel scandal came to public light when five suspects were detained, being accused of bribery, money laundering and tax evasion, among them Francisco Correa (*correa* means belt in English, *Gürtel* in German). The group, led by the businessman Correa, was accused of obtaining contracts in events and election campaigns by cultivating links with officers of the Partido Popular (PP, Spain's major right-wing party) in Madrid and Valencia in exchange of luxurious gifts, such as clothing or watches. Early calculations on the money loss to public finances were estimated to be at least 120 M€ [Rusiñol 2011]. While the attention on Madrid gradually faded away, the scandal damaged the career of the Valencian premier of the time, Francisco Camps, who had received many suits from the business group and eventually had to resign.

Many phone conversations were wiretapped, allowing an interesting ethnographical insight into the corrupt exchange. Here is a conversation between Francisco Camps and Álvaro Pérez *el Bigotes*, Correa's associate. While the public opinion widely regarded these conversations as the flagrant evidence of a corrupt exchange, in the conversations both Camps and Pérez emphasize instead their strong friendship, established through a sustained relationship based on mutual reciprocation (in which Camps obtains Pérez's loyalty in exchange of conceding public contracts to his business group). However, the gifts are still conceived as such, not as an extra official bribe, as they occur in Christmas: yet the implicit expectation to reciprocate floats implicit in the conversation. Just like in the potlatch, one may see hints of underlying self-interestedness in these conspicuous manifestations of generosity embodied by gift exchange [Montero 2009, translation is mine]:

PÉREZ: President.

CAMPS: Merry Christmas, my friend of the soul.

PÉREZ: Hey, I still love you a lot.

(...)

CAMPS: I know, I know. But I wanted to call you to let you know that I love you so much.

PÉREZ: OK. You will count for many years with my loyalty, won't you

CAMPS: Sorry, for many years? No, son of a bitch, for all your life.

PÉREZ: Exactly, I hope that it will last for a lot of years.

CAMPS: OK, but you cannot say for a lot of years, because this has a limit, an expiration date... For all your life...

PÉREZ: Did you read my card? [of the gift]

CAMPS: Thank you very much, eh?

PÉREZ: Well. Listen... Did you read my card?

CAMPS: Yes, yes, yes.

PÉREZ: Well, so note, note how much I owe you.

CAMPS: No, no, nothing.

PÉREZ: Yes, yes, yes.

CAMPS: Well, I want us to see each other quietly to talk about our thing, which is very beautiful.

PÉREZ: When you want and can...

CAMPS: A very warm hug, let me pass you to Isa [Camps' wife, Isabel Bas].

BAS: Álvaro.

PÉREZ: Hello.

BAS: With my gift you went well overboard.

PÉREZ: Sorry?

BAS: You did!

PÉREZ: But... but it is just a very little gift. Believe me.

BAS: A very little gift... [laughs]

PÉREZ: What are you saying...

BAS: Well, no. We have to talk about this.

Apparently Bas' gifts (a bracelet and a watch) were so opulent that she felt the need to return them, according to Francisco Camps in his trial [Montero 2009]. Pérez may have crossed the line beyond the implicit norms underlying his friendship with Camps, encroaching too explicitly into the domain of corrupt exchanges. By returning such opulent gifts, Camps' wife was canceling the implicit obligation to reciprocate imposed by them, an excess that for her had to be curbed. Even so, the wiretapped conversations of the Gürtel scandal closely dovetail the structure of gift exchange described by Mauss, displaying a complex interplay between generosity and self-interestedness.

Bárcenas

Last but not least, the Bárcenas case affected the entire Partido Popular's national structure, putting its most senior members under heavy fire. The scandal broke out in January 2013 when the accounting books of PP treasurer Luis Bárcenas –known as *los papeles de Bárcenas*– were leaked to *El País* and *El Mundo* newspapers while imprisoned for tax fraud due to the Gürtel case. These books detail an extensive unofficial parallel bookkeeping system that channeled slush money from illegal donations into election campaigns and bonuses for prominent PP members, covering the period from 1990 to 2009. Among the PP members cited in Bárcenas' books, there are the current head of government Mariano Rajoy, former president Aznar and ministers of the Aznar cabinet, such as Rodrigo Rato, Ángel Acebes, Jaime Mayor Oreja, Federico Trillo and Álvarez-Cascos. For instance, Rajoy received a bonus of 25,200 € per year, in addition to 20,120 € in suits and even 667 € for ties.

The presence of construction firms among the donators is highly remarkable: there is OHL head Villar Mir (donated 530,000€), FCC executive José Mayor Oreja (Jaime Mayor Oreja's brother, donated 500,000€), former head of Sacyr Vallehermoso Luis del Rivero (and presidents of minor firms such as Grupo Sando, Constructora Hispánica, Azvi, Aldesa and Rubau. According to Bárcenas, donations were not occasional, but a sustained usual practice. While Álvarez-Cascos was in the Ministry of Public Works, the donators received 2,500 M€ in public contracts [Nueva España 2013]. Further, Queralt notes that there are three peaks in income, one slightly after the 2000 general elections and two coinciding with the 2004 and 2008 general elections [Queralt 2013]. This hints unofficial campaign funding, taking into account that both 2004 and 2008 elections became a tight race between PP and PSOE [Queralt 2013]. These increased irregular donations would boost the probability of Partido Popular of winning the elections. While many in Partido Popular have admitted receiving payments from Bárcenas, Mayor Oreja acknowledged donating to PP's treasurer beyond what appears in his accounting books [Pérez 2013].

Pablo Crespo, another Correa's associate accused in the Gürtel affair, was secretary of organization in the Galician section of Partido Popular between 1995 and 2003 and appears in *los papeles de Bárcenas* with a donation of 126,000€. In a TV interview, he publicly acknowledged receiving extensive donations from construction firms that he passed to Bárcenas, while denying any implication in the Gürtel case (as only these latter crimes have not prescribed yet). The interview gives an interesting insight into how Crespo managed these donations in person [Crespo 2013]. He plainly

states, “all Spanish political parties have been illegally funded.” The Galician PP obtained 300,000€ per year, which increased tenfold before election campaigns. Crespo further estimates that the ratio between irregular and regular funds was around 65% to 35%.

While Crespo acknowledges that he was perfectly aware that such methods were not fully legal, he states [Crespo 2013]:

“That was just part of my job. My duty was to ensure that these private donations arrived to their destination. It may be shocking, sure, but my job was only to preserve the party’s structure afloat, pay its members by the end of the month and pay the suppliers’ expenses, that’s all”.

Rather than an occasional bribe pursued by a self-interested official, the inflow of slush money detailed by Bárcenas was a completely normalized practice within the party’s national structure since the eighties, known to everyone inside it. Further, such undeclared cash exchanges were still socially performed as donations, not as corruption bribes. Crespo assures that he never visited any businessman expecting a bribe: “the businessmen were the ones coming to make a donation, usually around 15,000€”. 80% of these were related to businesses in the field of public works construction. However, Crespo highlights that he had no knowledge whether these businessmen received anything in exchange: he only received the donations, but made no promises. Even so, the implicit expectation to reciprocate was there, but affected higher-ranking officials than Crespo. For him, these donations did not “buy” particular public concessions, but instead were the established common practice in the construction business: if one wanted to prosper there, he had to accept it. This evokes el Pocero’s statement regarding the mingling between the business of construction and politics. At the end of the interview, he guarantees the existence of these undeclared bonuses to PP senior officials in Galicia precisely because he was the one paying them. Finally, he explains the rationale underlying his confession: first, any crime he may have been involved with already prescribed and, second, he keeps some documentation in secret affecting prominent members in Partido Popular with the expectation of obtaining a better justice treatment in the Gürtel case, the same strategy that Bárcenas attempts to play with the release of his *papeles*.

Carmen Lobo

All of these corruption affairs affected businesses devoted to the construction of public works, the large scale of which restricts them to public administration at the state

(Bárcenas case) and regional levels (Palau and Gürtel). Instead, corruption at the municipal level emerged through development projects in which the town hall had the power to rezone. For example, a former councilwoman in the town of Camas (Sevilla, Andalucía, population 25,000), Carmen Lobo (formerly in Izquierda Unida, IU, post-communists) was interviewed regarding her involvement in a corruption case that affected the mayor (IU) and two other councilmen (PP and Partido Andalucista) in 2005 [Lobo 2013]. The accused wanted to rezone some land in Vega del Rey, Camas, originally intended for community use (ie public libraries, high schools, parks), and devote it for a luxury development project. The businessman Eusebio Gaviño, acting as the mediator between the local politicians and some shadow businessmen he did not disclose, needed the vote of Carmen Lobo to approve the rezoning. Lobo and Gaviño met the day before the town hall vote, in which Gaviño offered her three apartments and 7 M€ only in exchange of her “raising the hand” in approval of the project. However, Lobo wanted the land in Vega del Rey for community use and decided to wiretap her meeting with Gaviño while pretending she accepted the offer. According to the recording, Gaviño said: “Carmen, I offer you to resolve your life, your daughter’s and twenty generations of your family’s”. The rationale in which Gaviño framed the choice offered to Lobo was not one of self-interest maximization, but a safety-first strategy - Lobo describes it as a very tempting proposal, considering how little she had to do. Gaviño also gives an insight to his own position as a mediator within the plot: “We are going all out for it because both of us are going to be benefited. You have the key. I am not going to mess up, neither my people, but if you mess up, I am dead. They cut my throat”¹⁴. Further, he explains that the rezoning will allow him build in Vega del Rey the “greatest sports center in Andalucía” (“the marvel of the entire Aljarafe”: once again the prestige theme) and create 32 jobs, in addition to the much more generous investments by the businessmen he represents. Further, he claims, “all Bormujos [the township next to Camas] is corrupt. I have all the documents with me”, the same line of reasoning that Florentino Pérez used to persuade Matilde González – “everyone does it”, a form of peer pressure. In advance, Gaviño gives her 12,000€ as a sign of goodwill, making explicit his expectation on Lobo to reciprocate. In contrast to the other aforementioned cases, Lobo is not an insider to the social web of

¹⁴ “Vamos a muerte porque vamos a salir beneficiados los dos. La llave la tienes tú. Yo no voy a fallar, ni mi gente, pero si me fallas, estoy muerto. Me cortan el cuello.”

the corruption plot, but is hesitantly and slowly entering it through Gaviño, which makes her trustworthiness dubious within the group.

When Lobo betrayed her own promise by voting against the rezoning, Gaviño broke out, assuring in a wiretapped phone conversation that he had already contracted two hitmen to break her legs. At that point, the police arrested the corrupt councilmen and Gaviño. Later it emerged that behind Gaviño there were businessmen and PP politicians accused in the Gürtel case, among them Jesús Calvo Soria, a figurehead of Correa [SER 2014].

Corruption as a problematic category

While the detailed practices have been widely considered by the public as corruption, the phenomenon is in fact theoretically very complex. Corruption is often associated with unethical behavior, antisocial behavior, dysfunctional deviance, organizational misbehavior and counterproductive work behavior, so that it must be curbed [Ashford et al 2008, Freitas and Ramalho 2010, Stachowitz-Janutz 2010]¹⁵. For Dobel, “corruption is defined as the moral incapacity of citizens to make reasonably disinterested commitments to actions, symbols and institutions which benefit the substantive common welfare” [Dobel 1978]. In this sense, both Matilde González and Carmen Lobo, councilwomen in Madrid and Camas respectively, confronted the logic of the bubble by asserting that land development should service the community and not personal interest.

However, Spanish politicians accused of corruption have been consistently shown not to be maximizing their self-interest regardless of social rules. What may be regarded as a deviation from normative standards was in fact entirely integral to the political and economic practices embedded within the institutional arrangement of the Spanish political economy. In fact, Spanish politicians strictly adhered to the role assigned by a very distinctive social logic –the logic of the bubble–, akin to “a work-related subculture typical of complex organizations”, as Coleman describes in his study on white-collar crime

¹⁵ Further, Stachowitz-Janutz describes it as a social construct that is multilevel, ranging from bad apples (micro-level) to the rotten barrel (macro-level) [Stachowitz-Janutz 2010]. Freitas and Ramalho add that corrupt agents fall prey of a “banality of corruption”, caught by self-deception and rationalization [Freitas and Ramalho 2010]. Della Porta and Vannucci apply neoclassical principal-agent theory on the corrupt exchanges to the Tangentopoli scandal in Italy, but their conceptual analysis relies on social relations that are too stylized [Della Porta and Vannucci 1999].

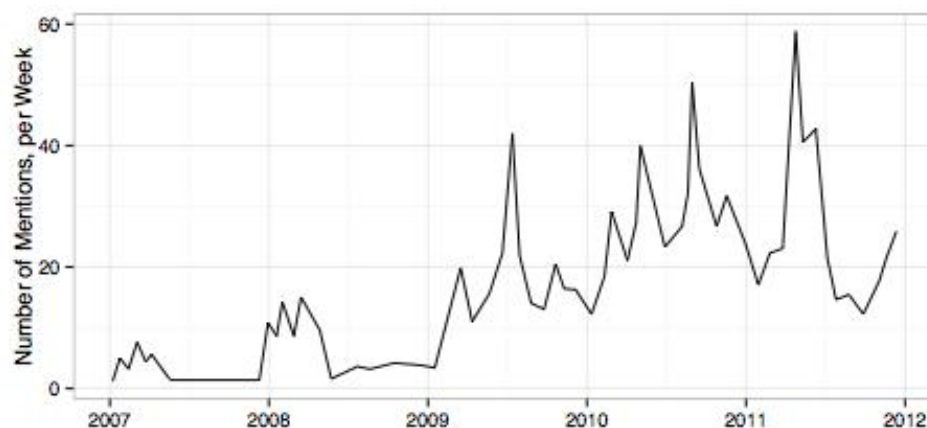
[Coleman 1988]. For Coleman, these distinctive work-related subcultures tend to isolate their members from “the mainstream of social life and its construction of reality” [Coleman 1998].

However, in the Spanish case it was an elite rather than a work-related subculture that came to public knowledge with the collapse of the economic bubble. What Coleman denotes as “mainstream of social life” is in fact another social subculture, implicitly noted by aforementioned Spanish experts (such as Germà Bel, José María Ezquiaga, Federico Aguilera and José Manuel Naredo [Évole 2011, Ezquiaga 2009, Aguilera and Naredo 2009]). This alternative social logic requires public infrastructure and land development to be useful for the general population and profitable for the public budget, that is, serving the so-called “substantive common welfare” [Dobel 1978]. Yet the very idea of what common welfare actually is depends critically on each social context. For that reason, for Florentino Pérez and Eusebio Gaviño, it was Matilde González and Carmen Lobo who went against common welfare, not them: both claim that “everyone except you supports the project”. The tension between both perspectives is actually the direct consequence of a socially structured political economy, as each agent is embedded within a particular context of social relations that then she chooses to reciprocate or not. In this sense, the social contexts of Carmen Lobo, Francisco Camps and Pablo Crespo, each with its own normative standards, relate to different stages in a social relation: Lobo is a recent newcomer whose loyalty must be still proved, so the corrupt exchange is the closest to a one-shot, market-like interaction; Camps and el Bigotes already enjoy a sustained, strong friendship, which camouflages any corrupt exchange; instead, Crespo is the designed manager of a donation system that are so normalized that could even be objectified as commodities, but is still not performed as such.

The social structure of economic and political relations may explain then the striking contradiction resembling the Maussian potlatch between the discourses of public officials and businessmen -aimed at creating prestige through construction and development, conceived as generous gifts that eventually benefited everyone- and the economic payments they received (apparently) in exchange for them. In that respect, Ezquiaga plays with the polysemy of the word *gift*: gift as present and gift as a quasi-divine talent. The gift (such as donations, public infrastructure and development projects) is not the object in itself, but also enchants the receiver with its mystique, thus embodying both materiality and belief. The tension between the logic of the bubble and a more utilitarian logic in fact corresponded to the tension among the touched by the gift -social

insiders within the trickle-down gift economy of the bubble- and the ones left untouched by it, who are left blind to the prestige and pride induced by such magnificent works. Therefore the untouched by the gift could only see self-interest maximization and corruption in them, but also warned against the very irrationality that represented the bubble. Precisely, only who was touched by the gift also engaged in the gift exchange of the bubble, while regarding the outsiders as irrational for not joining it. Such tension arose precisely because the exchanged objects were not socially neutral but embodied social relations of emulation, loyalty, power and subordination.

Through this mechanism, public goods –land and taxpayers' money- were extracted in a form of primitive accumulation. For this process of social extraction to be feasible, public goods had to be re-conceived as objects of gift exchange in a network of fierce competitive emulation in the form of the bubble. However, this process of social extraction was only regarded as such by the untouched by the gift.

(a) Number of News Stories in *Google Trends* Mentioning Corruption

(b) Mentions of Corruption As One of Main Problems in Spain

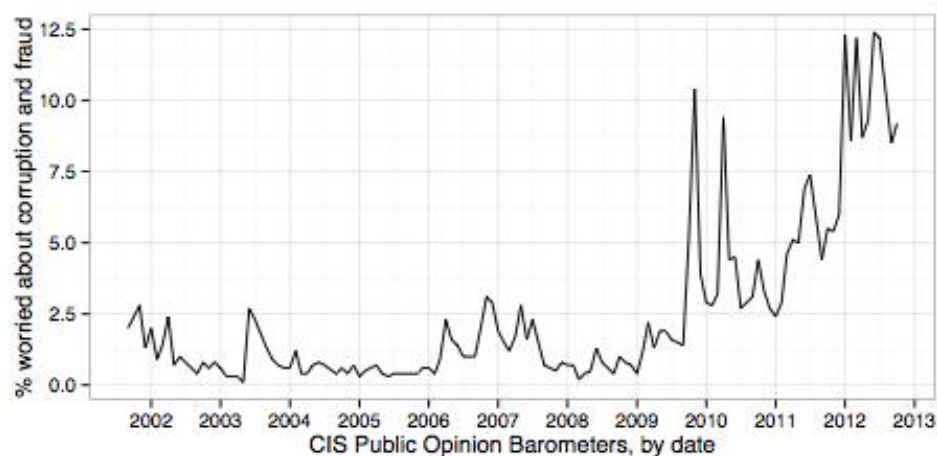


Figure 4: Corruption Perception in Spain [from Rivero, Barberá and Fernández-Vázquez 2013]

Public perception of corruption

While corruption is widely regarded as a deviation from ethical norms, ethical practices crucially depend on the particular social context within agents are embedded. When one agent is “disembedded” because the social relations of her context did not reciprocate her loyalty fairly, then she proceeds to reciprocate this perceived unfairness by betraying the plot and reporting to justice. Txetxo Yoldi, the Spanish journalist with the most thorough knowledge of its justice system, insightfully points out that the Bárcenas and Gürtel cases were not unveiled by any state institution devoted to fraud persecution,

but by former members of Partido Popular who were not content with their share in the plot [Yoldi 2013]. For instance, *los papeles de Bárcenas* were leaked by Jorge Trías Sagnier, who was in charge of Bárcenas' defense on behalf of PP but became gradually alienated by it. According to Escolar [Escolar 2013], the lack of reciprocation that triggered Trías Sagnier's revenge was threefold: he did not receive any payment from PP for his legal advice to Bárcenas, his frustrated expectation to become justice minister in 2011 and his frustrated attempt to become people's defender in early 2012.

Finally, both Francisco Camps and Carmen Lobo conceived their actions as beneficial for the welfare of their electoral constituency. Rivero, Barberá and Fernández-Vázquez examine election results in municipalities affected by corruption scandals between 2007 and 2011 to find that voters do not systematically punish corruption: distinguishing between corruption that ultimately benefits the constituency (in form a job-creating development project that fuels the local economy, for instance) or disfavors it (for example, embezzlement), they show that only in the latter case corrupt mayors suffered an electoral penalty of about 7% [Rivero, Barberá and Fernández-Vázquez 2013]. In this sense, Lapuente Giné argues that the main cause underlying corruption is the high level of politically appointed officials in Spanish institutions, which creates networks of clientelism [Lapuente Giné 2013]. However, it has been shown that while these networks exist, they emerge because Spanish political institutions were thoroughly immersed in the political economy of the construction bubble.

The complex, socially situated character of corruption is well described a paradox shown by a recent Eurobarometer survey: while 95% of Spaniards believe that corruption is an extensive problem in the country, only 2% acknowledge that someone asked or expected a bribe from them in the last year and only 16% consider acceptable to offer a gift in exchange of something from the public administration [Eurobarometer 397]¹⁶. This reinforces the view that corruption scandals, rather than unveiled, are instead constructed and re-conceived when the social networks of reciprocation stop flowing and collapse along with the economic bust.

FINANCIERS

16 The EU averages are the following: 76% consider that corruption is a widespread problem in their country, 4% claim to have been asked or expected a bribe in the last year, 23% consider acceptable to give a gift in exchange of something from the public administration [Eurobarometer 597].

If there has been an emblematic economic sector in the domain of contemporary Spanish capitalism, it has been private banking [Pérez 2003]. Configured as both commercial and investment banks, they emerged as main protagonists of the process of late industrialization under Francoism. At the time, Spanish great private banks were “the Big Six” (Banesto, Bilbao, Central, Hispano Americano, Urquijo y Vizcaya), which controlled 68.9% of private bank capital, 78.9% of all deposits and 80.9% of branches [Tortella and García Ruiz 2003]. As “universal banks”, they were able to exert much influence on Spanish businesses through three distinct mechanisms: they reaped generous profits as shareholders of strategic economic firms, they managed their financial operations and occupied prominent seats in their executive councils through a network of common board directors [Pueyo Sánchez 2006].

The distinct structure of the Spanish financial sector emerged during World War I, when the international scene led neutral Spain to a process of economic expansion and overaccumulation of capital that was hard to re-invest then and was characterized by the dominance of a reduced number of universal banks, a high level of economic concentration, geographical concentration in Madrid and Bilbao and the transition of great banks to the national level through the creation of an extensive network of branches across the country [Pueyo Sánchez 2006]. The 1921 banking law (*Ley de Ordenación Bancaria*) created a system based on self-regulation and an inflationary key mechanism that guaranteed unlimited liquidity to the banks through the privilege to use public debt as collateral at anytime (*pignoración automática de la deuda pública*) in exchange of financing the state when needed [Pérez 2003].

During the Civil War, private banks became enthusiastic supporters of the Fascist cause, funding the rebels and waging a currency war against the Republican peseta [Tortella and García Ruiz 2003]. For Tortella and García Ruiz [2003], Spanish banks emerged after the war in a position of unprecedented strength. However, they observe that bankers never occupied key positions within the political institutions of the Francoist regime, whose 1946 banking law was characterized by an extreme interventionism typical of the Falangist tradition [Pérez 2003, Pueyo Sánchez 2006]. Nevertheless, their privileged position allowed them to circumvent such regulations and continue their tradition of self-regulation [Pérez 2003, Tortella and García Ruiz 2003]. In addition, the 1946 law declared a *status quo* that forbade the creation of new banks, leaving the six great banks’ power unchallenged until the eighties.

Because of their huge influence on the Spanish economy, most literature has characterized the Big Six as a power that be constituted as a perfect monopoly with uncontested political power through opaque channels [reviewed in Pueyo Sánchez 2006; for example, the seminal Muñoz 1969, see also Tortella and García Ruiz 2003 and Recio 2009]. However, most of these studies so critical of Spanish banks stem from the fifties and sixties in a context of a fierce battle for hegemony within the Francoist regime between the Falangists like Muñoz himself and the Opus Dei technocrats [Powell 2001, Recio 2009]. The Falangist faction, hegemonic after the Civil War, had lost their international allies (Germany and Italy) and been losing power due to the sluggish postwar economic recovery brought by their typically Fascist economic programme (ie corporatist and interventionist). Meanwhile, the Opus Dei technocrats espoused a more liberal economic programme (closer to the Spanish banks) and offered the possibility of a contingent alliance with the US, much interested in attracting Spain in the context of the Cold War.

Initially Franco preferred the nationalization of banks to the perpetuation of the existing monopolies [Tortella and García Ruiz 2003], but the economic difficulties of the early fifties led him to accept the ambitious *Plan de Estabilización* (Stabilization Plan) of 1959, under the umbrella of the IMF (and, by extension, of the US), while overhauling his Council of Ministers with the promotion of liberal technocrats to key positions [Powell 2001]. Trade was liberalized, plans of structural adjustment were drafted and carried out, projects that were not competitive internationally had to be abandoned, private initiative was prioritized over the public sector in order to promote industrialization and the market was given a greater importance as an allocator of resources [Sánchez Recio and Tascón 2003]. The 1959 Plan also abolished the mechanism by which banks could automatically use public debt as collateral, curbing such great privilege. Nevertheless, the spectacular economic takeoff that succeeded was to further consolidate the power of the Spanish financial sector in contemporary Spain, which in the sixties took over the emerging construction firms in the aforementioned ways.¹⁷ While the 1962 banking law pursued a

¹⁷ According to Raymond Carr, “in structural terms the Spanish society changed much faster between 1957 and 1978 than in previous centuries”: a semi-stratified, semi-industrialized rural society evolved into a full-fledged industrial country in fast modernization, dominated by a growing third sector (mainly focused in tourism) and featuring the emergence of an urban middle-class [Powell 2001]. Between 1959 and 1974,

true reform of the monopoly exerted by the existing banks on paper, it failed to do so, as for instance only allowed the new industrial banks to open a maximum of three branches [Pérez 2003]. For Pérez [2003], the long-lasting relationship between the financial sector and political power is best characterized as one of sustained reciprocity and accommodation.

Pueyo Sánchez [2006] offers a more nuanced perspective on the Spanish financial sector, arguing that its structure resembled, rather than a perfect consensual monopoly as claimed by most literature, an oligopoly. In other words, the financial sector showed a higher degree of heterogeneity of agency and conflict within it. In this direction, retired banker Manuel Puerto Ducet offers in his autobiography [2012] a brilliant insider account starting in the sixties that characterizes the banking sector as a scenario of palace intrigues, fierce struggles for power, contingent alliances, betrayals and intense enmities, rather than the atomistic marketplace envisioned by economic theory, in which banks efficiently channel investment. Puerto Ducet explains that his overt lack of ambition, a rarity in the Spanish financial world, guaranteed him the position of *confidante* of numerous Madrid bankers, confident not to have a potential rival in him. This gave him a privileged perspective on the period of intense mergers and acquisitions that overtook the financial sector in the late eighties in its integration within the European framework, which he describes as a scenario of intense backstabbing and betrayals [Puerto Ducet 2012].

Spain displayed the second fastest economic growth after Japan. Such spectacular takeoff –“el milagro español”– was fueled by the new access to foreign technology, an important increase in foreign investment, mainly from the US (40% of the total; total investment multiplied by 17 times in 10 years), and huge volumes of currency remittances from 2.3 million Spanish workers abroad (from 50 M\$ in 1960 to 1543 M\$ in 1973, funding 50% of the Spanish trade deficit). Such remittances actually functioned as a de facto Keynesian stimulus of aggregate demand, particularly among the working classes. With the liberalization of the regime, Spain became a prime touristic European destination thanks to its cheap prices and sunny beaches, which guaranteed constant inflow of money into the economy and, above all, sustained demand for a growing construction sector [López and Rodríguez 2010].

The banking sector had staunchly resisted its liberalization despite the occasional attempts of many public officials. Among those, the first post-Francoist democratic president, Adolfo Suárez (UCD), considered that his 1980 law that allowed the entry of foreign capital to banking gained him the enmity of private banks and his eventual demise, even leading to the failed coup of February 23rd, 1981 [Martinez 1993, Garcés 1996]. Instead, the PSOE governments (1982-1996) resorted to very moderate and markedly pro-business economic policies, even though the UCD governments were on paper closer ideologically to the business elites of the CEOE trade association [Martinez 1993, Powell 2001]. In this direction, the main PSOE economic policy-makers, Boyer and Solchaga, already came from the financial sector and Boyer was to occupy a privileged position in it after his exit from political office in a typical form of the revolving-door mechanism [Pérez 2003].

The PSOE policy-makers were particularly concerned about the integration of the financial sector within the European framework as the existing banks lacked size to confront international competition, especially as they had been hardly hit by the industrial crisis of the eighties [Pérez 2003]¹⁸. The government feared that the potential entry of foreign capital would undermine the well-established relationship between the central bank [*Banco de España*] and the financial sector, threatening to weaken the influence of political power over the evolution of the Spanish economy [Pérez 2003]. Following the advice of the Revell report, the PSOE endorsed through the Spanish central bank (*Banco de España*) the merger of the existing banks. In this direction, Mariano Rubio, in charge of *Banco de España* supported in 1987 the failed attempt of Banco Bilbao to take over Banesto, which broke the existing implicit social rules of *status quo* that had long reigned in the financial sector and triggered an intense process of capital concentration during the nineties after the outburst of the 1985-1992 bubble.

The social reality of mergers and acquisitions

¹⁸ For instance, in 1984 the *Banco de España* imposed a moratorium to the entry of foreign banks arguing that the market had reached a threshold of saturation, which was arbitrarily established when foreign banks had attained 14% of the credit market. One year later, after a maneuver by the big banks, this threshold was further reduced to a 10%. This series of obstacles would lead the foreign banks admitted in the 1978 liberalization decree to leave the Spanish market [Pérez 2003].

The failed takeover of the Banesto would hand its leadership to Mario Conde, who best symbolized a new style of conducting financial business originated during the financialization of the US. Puerto Ducet is very critical of this ambitious and riskier style of practices, closer to the emulation of the emerging US financial practices than a measured, rational calculation on solid grounds [Puerto Ducet 2012]¹⁹. For him, the departments of financial analysis of most banks have not only transformed into ineffective filters of toxic assets, but instead they embellish them to become even more appealing for the unaware customer under an appearance of innovation and sophistication, “exacerbated by an atmosphere of complete impunity” [Puerto Ducet 2012]. Mario Conde would soon become a symbol of prestige and success in business until a hole of 2,704 M€ in Banesto was revealed in 1993, in the aftermath of the 1985-1992 bubble. His demise culminated in Banesto’s intervention by Banco de España and a 20-year prison sentence for criminal conversion. However, Puerto Ducet details that his crimes were not very different than the standard practices in the financial sector, but his fall from grace was due to his attempt to dispute the leadership of the political right to Aznar, head of government between 1996 and 2004 [Puerto Ducet 2012].

Central banker Mariano Rubio was also sentenced to prison due to the Ibercorp scandal, which broke out in 1992. Ibercorp was a society of financial intermediation founded in 1987 by Manuel de la Concha and Jaime Soto López Dóriga, good friend of Mario Conde, which managed the assets of a wealth of prominent members of the Spanish elites, among them Rubio. De la Concha, who was considered a very good friend by Rubio, used his blind trust to indulge in financial malpractices, confident that Rubio’s political power would exonerate him [Puerto Ducet 2012]. However, once-powerful Rubio himself miscalculated his impunity, as he, like the rest of socialist members, was just a newcomer to the game of the elites and did not enjoy yet their

¹⁹ Puerto Ducet’s criticism of this new style of conducting business of a younger generation of high financiers closely resembles the description by former Goldman Sachs’ executive Greg Smith in his New York Times op-ed, “Why I am Leaving Goldman Sachs” [Smith 2012]: the transformation from a business culture of “teamwork, integrity, a spirit of humility, and always doing right by our clients” into one consisting of treating customers as “muppets” and calculating “how to best rip them off” by selling them illiquid, opaque, three-letter-acronym financial products “Goldman is trying to get rid of because they do not have much potential of profit”, “trading whatever will bring the greatest profit to the firm”.

privileges [Puerto Ducet 2012]. Just like the aforementioned cases of Bruno Figueras or Conde, prison sentences emerge not because the individual is factually guilty, but only when he overshoots, breaks the implicit social rules underlying the network of alliances and enmities and is then negatively reciprocated.

Puerto Ducet describes Spanish mergers and acquisitions as a scenario of intense backstabbing and betrayal, embedded within the network of social relations of high financiers. For instance, the merger of Emilio Botín's Banco Santander and Banco Central-Hispano Americano: José María Amusátegui disembarked in Hispano Americano in 1985 as the right-hand man of Claudio Boada, who was to restructure the bank after the one year of mismanagement of Jaime Soto López Dóriga. Soto had pursued a new look and risky expansion in the new style of financial practices (and was later to found ill-fated Ibercorp in a similar direction), which completely backfired. Boada restructured the bank and put Amusátegui in its presidency. In 1990, Hispano Americano and Escámez's Central merged and Amusátegui easily obtained the leadership in 1992 of the new bank at the expense of an Escámez in decline [Puerto Ducet 2012]. Confident of the strength of his newfound position, Amusátegui then trusted Santander's CEO Echenique, who assured him that Botín (president of Santander) was no longer interested in acquiring Central-Hispano Americano, while recommending a series of names for his board of directors [Puerto Ducet 2012]. However, the men were shadow affiliates of Botín and undermined Amusátegui's position to the point that he had to accept the recommendation of Banco de España of hiring Corcóstegui –another of Botín's men- in 1994, when the bank was undergoing severe economic difficulties after the outburst of the bubble. Puerto Ducet [2012] sees in this move the hand of all-powerful Emilio Botín, who is often said to wield a huge influence over the Spanish central bank. Amusátegui, in his naïveness, and Corcóstegui secretly convened to merge Central-Hispano Americano with Santander (1999), but the board of directors of Central-Hispano Americano easily handed its control to Santander's president and removed Amusátegui from its presidency in 2001. This led to the creation of Grupo Santander, the largest bank in the Eurozone in market value. Of the original Big Six, Santander acquired Banesto, Central and Hispano Americano, while Urquijo was absorbed by Sabadell Atlántico and Bilbao and Vizcaya merged into BBVA. The BBVA group included the public bank Argentaria, which Aznar privatized and in whose presidency put his good friend Francisco González and later sponsored him to ultimately take over the entire financial group, until then in Basque hands [Laso D'Lom 2013].

The power of Santander's head Emilio Botín is best summarized by his extensive social network woven through Santander's board of 16 directors [Carreño 2013]: in addition to his son Javier and daughters Ana and Patricia, half of the remaining 13 have been ministers or vice-ministers of PP, PSOE and UCD cabinets (the so-called "revolving-door mechanism"). Luis Ángel Rojo, Spanish central banker after the demise of Rubio (1992-2000), was also a member of the board. Another prominent member is Juan Miguel Villar Mir, head of construction firm OHL. Even though the board is clearly politically conservative, Botín was considered to be closer to the PSOE, which he praised many times during the last 2004-2011 Zapatero government [Jenkins 2013]. In the last days of his mandate, Zapatero reciprocated Botín with the pardon of Santander's CEO Sáenz, who had been convicted of false accusations against presumed debtors to Banesto, now a Santander subsidiary [Carreño 2013]²⁰.

The Financial Times published a well-versed characterization of Emilio Botín, whose financial empire now extends across ten countries: an "arch-dealmaker who, aided by behind-the-scenes networking, commands such status that even his critics believe him to be untouchable, priding himself on his political connections" [Jenkins 2013]. Jenkins, who also mentions the controversial Santander-Central Hispano Americano merger, focuses on Botín's role in the three-way acquisition of Dutch bank ABN Amro in 2008, the biggest ever bank takeover that became a disaster for RBS and Fortis while a triumph for Santander. In the words of a senior RBS executive of the day, RBS' CEO Fred Goodwin was outsmarted and humiliated by the Spaniard: "Emilio played Fred like a Stradivarius. He used to put his arm around him and say, 'Fred, you're such a brilliant CEO', and at the same time, metaphorically, he was picking his back pocket" [Jenkins 2013]. Further, Jenkins puts Santander's headquarters in Cantabria as a symbol not only of Botín's prestige (as already noted, a recurrent feature of the political economy of the Spanish bubble):

"Nowhere is the Botín ego clearer than in Santander's physical presence.

At that Cantabria data centre, the windowless control hub is like a Nato war room. More opulent still is the Madrid headquarters – with an orangery-

²⁰ In addition to the revolving-door mechanism, banks also exert power over politicians through the concession of generous credit: the debt of political parties with parliament presence amounts up to 145 M€, 45% of which belongs to the PSOE. These loans are often pardoned by the banks and cajas de ahorros without receiving anything in exchange on paper (but with an implicit expectation to reciprocate in form of beneficial regulation) [Montero 2009].

themed reception area, golf course, tennis courts and 1,000-year-old shipped-in olive trees. Arriving at the campus is like entering another nation state, so stiff is the security, and in the futuristic welcome centre, visitors are greeted and chaperoned by 3ft-high multilingual robots.” [Jenkins 2013]

Finance as a social formation

The characterization of the Spanish financial sector as a social network of alliances and enmities puts its expansionary push into perspective. In the direction of Fligstein's market-as-politics approach [1996], the mergers and acquisitions of Spanish banks are better described by a fierce power struggle over market hegemony in which actors in firms try to create a status hierarchy that enforces noncompetitive forms of competition. For Fligstein, processes within the social structure of markets and the internal organization of firms reflect two types of political projects: the internal firm power struggle and the power struggle across firms to control markets [Fligstein 1996]. Further, Podolny, in the direction of White's conception of the market as a role-based social structure [White 1981], develops a status-based model of market competition, in which firms attempt to climb positions in an implicit social order of status positions [Podolny 1993]. Under this rationale, business actors would seek to expand their power and prestige through mergers and acquisitions rather than maximizing self-interest in form of strictly economic profit. Profit, rather than a mere economic, objectified quantity, should be collapsed with power and prestige as a social formation.

In this direction, Christofferson et al [2004] critically examine a series of mergers to find that most of the shareholder value created is likely not to go to the buyer but to the seller, as the former systematically overestimates the synergies (from economies of scale and scope, improvement of practices and stimulating effects) a merger will yield. Further, Bieshaar et al [2001] argue that the market has a tendency to favor expansionist over transformative corporate deals, while half of corporate deals examined in the analyzed sample failed to create significant shareholder value. Brewer and Jagtiani [2001] suggest that firms may be growing not to lower costs but to receive the comfort of implicit state support, as banks are prone to pay a premium to merge if the result gives them too-big-to-fail status.

Further, Pueyo Sánchez [2006] argues contra the Chicago school that the 20th century territorial expansion of the network of bank branches did not pursue an increase in business efficiency or higher returns from economies of scale. Instead, banks clearly

overshot in their territorial expansion, yet emerging unscathed from it. Territory appeared to be an essential dimension of the Spanish political economy, as real estate development and the construction of prestigious mega-projects are also deeply entangled with it in a way that evokes the rationale underlying feudal conquests. In this sense, what Spanish banks pursued with their territorial expansion is to increase the power they wield over Spanish society, as it lies among other sources in their network of branches over the territory [Pueyo Sánchez 2006, Recio 2009]²¹.

Between 1995 and 2003, interest rates were reduced from 11 to 3.5%. Because the banking business consists in lending at a particular price, at the same time that the price of money dropped, banks had to boost their trade volume to keep up to the same profit rate [Colau and Alemany 2012]. In the early stages of the bubble, capitals fleeing from the East Asian Tigers (in crisis since 1997) and Russia (1998) entered Spain and combined with the massive laundering of untaxed pesetas in anticipation to the euro, a total of 9,600 M€ that was oriented to the real estate sector [Vercher Noguera 2004]. By 2003, Spain had already exhausted local savings and practically captured all the liquidity generated by German and French banks, which financial deregulation had allowed to practically double their leverage [Vergés 2011]. Cheap money fueled the aggressive expansion of the territorial network of bank branches and overbearing market campaigns. Banks engaged in a multitude of predatory lending practices pushed by bank managers [Colau and Alemany 2012]. For example, they often raised artificially the valuation of real estate assets to comply with the recommendation of the Banco de España of not lending above 80% of the asset value. Some mortgage contracts even reached 120% of the valuation, under the expectation of house prices to continue rising [Colau and Alemany 2012].

In fact, a territorial expansion of a bank network of branches corresponds to an expansion of the social network it can weave with its customers. What the banks did at a national scale is the equivalent of Botín's micro-level "behind-the-scenes social networking", the strategic manipulation of social ties to attain a position of social power. However, this strategic manipulation of social ties in form of networking is not an epiphenomenon of financial activity, but underlies financial activity itself [Abolafia 2001]. In fact, financial credit is the objectified form of a broader conception of credit -as a social category, following Mauss [Mauss 1990]- and therefore intimately linked to interpersonal

²¹ Territorial expansion is a practice the regional savings banks (*cajas de ahorros*) tried to emulate in the 1998-2008 bubble, which led to their eventual demise.

trust [Graeber 2011], defined as the psychological state of accepting vulnerability toward another based on positive expectations [Saunders 2010]. By wisely weaving an extensive, well-structured network of social ties, one is able to produce trust, receive social credit in reciprocation and even exploit other people's expectations and vulnerabilities at their expense. In this direction, Galbraith's account of the bezzle during the 1929 Great Crash is enlightening [Galbraith 2009]:

"In many ways the effect of the crash on embezzlement was more significant than on suicide. To the economist embezzlement is the most interesting of crimes. Alone among the various forms of larceny it has a time parameter. Weeks, months or years may elapse between the commission of the crime and its discovery. (This is a period, incidentally, when the embezzler has his gain and the man who has been embezzled, oddly enough, feels no loss. There is a net increase in psychic wealth.) At any given time there exists an inventory of undiscovered embezzlement in – or more precisely not in – the country's business and banks. This inventory – it should perhaps be called the bezzle – amounts at any moment to many millions of dollars. *It also varies in size with the business cycle. In good times people are relaxed, trusting, and money is plentiful.* But even though money is plentiful, there are always many people who need more. Under these circumstances the rate of embezzlement grows, the rate of discovery falls off, and the bezzle increases rapidly. In depression all this is reversed. *Money is watched with a narrow, suspicious eye. The man who handles it is assumed to be dishonest until he proves himself otherwise.* Audits are penetrating and meticulous. Commercial morality is enormously improved. The bezzle shrinks." [italics are mine]

In a way, Galbraith couples the Minsky-like cycle of financial credit [Minsky 1992] with a broader view on credit as an interpersonal, social thing, which may boost or undermine business confidence. In a similar vein, Puerto Ducet notes that the best antidote against financial corruption are crises [Puerto Ducet 2012], which unveil a whole amount of business malpractice (ie the bezzle) sheltered by the overshooting trust that

characterizes the expansionary phase of the cycle²². During the boom, expectations are optimistic, business confidence is high and (both social and economic) credit is generous. After the bust, expectations are pessimistic, business confidence is low and credit is scarce.

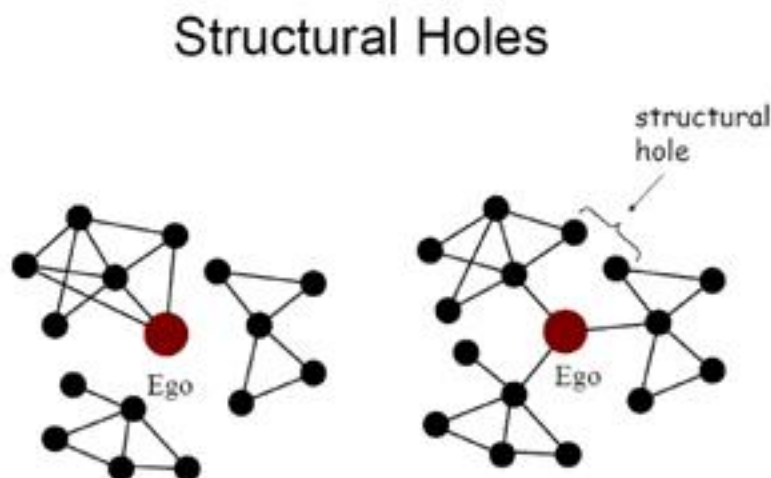


Figure 5: Structural holes [downloaded from http://farrall.org/papers/webgraph_as_content.html]

Precisely, expectations, confidence and credit are essentially social categories. Their cyclical evolution has its origin in the aggregate dynamics of the strategic manipulation of social ties with which the collectivity of heterogeneous agents engages. Such manipulation involves playing on the expectations of one's social neighbors by taking advantage of information asymmetries through bridging over "structural holes" [Burt 2009]. Burt notes that a well-structured network of social relations is one whose social ties are related to different social cliques so that they capture information efficiently, ie they are nonredundant. Agents with structural holes would be exposed to the exact opposite: an excess of redundant information that puts them in competitive disadvantage.

In this sense, the agents' ability to espouse contradictory narratives at the same time appears as a crucial elite practice in order to exploit the trust of one's opponents to outplay them, even if they actually believe in these narratives. Such usual elite practice would ultimately produce the potlatch-like scenario Mauss describes: the striking coexistence of disinterestedness and fierce struggles for power. This is a behavior we

²² This evokes the previously noted description of political corruption as revealed not because the individual is factually guilty, but when the flow that circulates within the network of favors and reciprocation suddenly dries out.

already observed in the cases of Botín, Camps or Florentino Pérez, for instance). These expectations flow through the lines of the social structure of relations, whose aggregate outcome is a cycling “market confidence” as an emergent property.

Like in Bourdieu’s description of economic and cultural capital [Bourdieu 1977], social and financial credit are intricately coupled: as formerly noted, much of the current financial practices lay in exploiting information asymmetries in one’s favor, taking advantage of the excessive trust of unaware social neighbors, just like the intense social networking of Spanish high financiers. It is no coincidence then that an agent with a well-structured social position finds easier to obtain financial credit in advantageous conditions, for instance at no interest, like Puerto Ducet notes [2012].

Cajas de ahorros

Originally created to provide banking services to the middle-class and working population, mainly ignored by traditional banks, the cajas de ahorros (savings banks) had a strong provincial or territorial basis and a conservative outlook [Fernández-Villaverde et al 2013]. However, the process of European integration of the financial sector turned this upside down (once again): the cajas’ governance was changed in 1985, transferring its full legal control to the regions. They were also allowed to expand territorially, albeit with limitations. In 2008, the expansion was such that there was a branch for every 1,800 inhabitants [Fernández-Villaverde et al 2013]. While on average a public doctor attended 453 inhabitants, a bank employee attended 166 [Montserrat 2013]. During the bubble the cajas de ahorros gained a considerable market share versus banks: from 40% in 1991 to 54.5% in 2007.

Because of their original social function, the cajas de ahorros did not have shareholders, but were governed by a board selected by the regional and local governments, employees and clients, thus facilitating its capture by politicians and developers. When massive cheap credit flowed into the economy due to the low interest rates of the European Central Bank, the cajas de ahorros easily became the pivotal institutions to finance the projects of both politicians and developers. For instance, the case of Caja Madrid, Madrid’s regional bank, founded by an Aragonese priest in 1702 and only rivaled by Catalan La Caixa. Miguel Blesa, a lawyer with whom then PM Aznar had had a long-standing friendship since their times studying for the state exams for tax

inspector²³, became its president in 1996 after PP's contingent alliance with the CCOO trade union (one of the two major trade unions in the country) to depose then president Terceiro, closer to the PSOE [Barrón 2012]. The agreement called for the reactivation of the relationship with real estate developers [Fernández-Villaverde et al 2013]. Caja Madrid expanded aggressively, participating and aiding in the real estate bubble, gaining significant stakes in strategic segments of corporate Spain, thickening the complex web of politics, finance, and business interests that characterize Spanish capitalism [Fernández-Villaverde et al 2013]. Blesa was unable to detect the real estate bubble, as his critics evoke huge mistakes during his 1996-2009 mandate: a 1000 M€ credit to the real estate firm Martinsa-Fadesa (to declare the greatest bankruptcy in Spanish history in 2008), its failed attempt to go public in 2008, a 26.6 M€ to then president of the CEOE trade association Díaz Ferrán (who also happened to occupy a seat in Caja Madrid's board), the involvement in the Gescartera scandal and its fraudulent use of preferred stocks [Pryzbyl 2013]. He also bought one of Real Madrid's towers, a club he was a huge fan of. An internal report of 2009 revealed that the loan value of 17% of credit analyzed was 100% of the client's income and in many cases pending mortgage debt was "much higher" than the actual value of the collateral (ie the house), incentivizing mortgage defaults [Barrón 2012].

Nevertheless, Blesa would be rewarded with a compensation of 2.8 M€ for his services rendered. Due to Caja Madrid's uncontested financial power, Blesa became the financial caudillo in service of Madrid's PP [Pryzbyl 2013]. As a local union leader recalls:

"One cannot forget power. It is an error to believe that Blesa's position is desired only for the money. From Caja Madrid billions of euros are distributed over the entire region [Comunidad de Madrid] in projects of all kind and this concedes a lot of power in exchange. But there are other instruments to wield power and influence. The Caja Madrid foundation and all its welfare and cultural work²⁴ are now a place of luxury. They confer a

²³ Blesa was not a childhood friend of Aznar, like Alierta or Villalonga, who were put in the presidency of privatized companies (Tabacalera and Telefónica, respectively).

²⁴ In exchange of an advantageous legal regulation, the cajas de ahorros were obliged to re-invest a significant share of its profits to their respective foundations, originally devoted to social welfare and cultural projects. The bubble was going to change this by transforming these cultural projects into museums aimed at symbolizing prestige, falling prey to the bubble symbolic economy of the mega-projects.

status among the cultural world, always craved by the Spanish right due to its old complexes” [Pryzbyl 2013, translation is mine]

In 2004, Caja Madrid conceded a credit of 421,000€ to Blesa, an illegal move as it required the explicit authorization from the Madrid regional government. However, this was a standard practice among the members of the board: Díaz Ferrán²⁵ obtained 131 M€ in credit between 2003 and 2010, Espinar (24 M€), Moral Santín (of the leftist IU, 18.7 M€) and Rodríguez-Ponga (5.3 M€) [Pryzbyl 2013]. Judge Elpidio Silva, who investigated this case, is now under trial for prevarication²⁶.

When foreign credit dried out due to the 2008 Wall Street meltdown, the cajas de ahorros, highly leveraged on the construction sector, encountered severe difficulties. The Banco de España pursued an active policy of mergers that ultimately produced too-big-to-fail financial entities that had to be bailed out and nationalized, which may have been a deliberate move to protect politicians’ interests in the cajas. For example, Caja Madrid was merged with Valencian Bancaja and five other cajas and transformed into a bank in 2010 to create Bankia, the fourth largest bank of Spain with 12 million customers and assets equal to 33% of Spanish output. The eventual collapse of Bankia, the largest holder of real estate assets (38,000 M€), with the resignation of its then CEO Rodrigo Rato (also former Economy minister under Aznar and spilled over by the Bárcenas scandal), led directly to the Spanish request for a bailout and intervention from the European Union (June 2012) [Fernández-Villaverde et al 2013].

Bank employees

Because of their critical role, bank employees constituted the frontline separating the worlds of high finance and of customers and homeowners. Pau Montserrat, a former employee of Banco Zaragozano for ten years, exposed the perspective of this group on its participation in the bubble [Montserrat 2013]. For Montserrat, the main mistake of now highly indebted customers was, once again, a problem of “trust”. They considered the

²⁵ Díaz Ferrán, once president of the CEOE trade association, was sentenced to prison for tax fraud in 2013 is under investigation, being suspected of engaging in criminal conversion.

²⁶ Many judges who attempted to investigate elite corruption have received considerable political pressure: Baltasar Garzón (for Gürtel), Castro (after King’s daughter Cristina de Borbón) or Pablo Ruz (Bárcenas). Garzón was under trial for prevarication, just like Elpidio Silva [Vidal 2013]. In fact, Garzón’s sentence was strictly fair. The point is that he was only sentenced when after elites, while he had already been incurring in similar misconduct, yet that time against ETA members or Catalan nationalists.

bank employee “as a friend” or as a financial advisor that one could trust, rather than a wageworker whose salary depended to sell as many financial products as possible. Aided by the regulatory indolence of Banco de España, banks exploited the trust they had long generated in their clients after decades of cooperation. Following the new style of conducting financial business and encouraged by low interest rates, banks instructed their employees to break the existing implicit social contract with their clients without the knowledge of the latter. Further, they exploited the financial illiteracy of the population for their own benefit. After all, banks are in a much better position to evaluate their own financial products, a structural form of information asymmetry that banks systematically took advantage of. In response to the intense pressure of bank managers to sell as many products as possible, the bank employee had still agency in pursuing practices that ranged from the “great” salesman, who sold everything he was told of without analyzing it and in complete obedience to his superiors, to the “bad” employee, devoted to properly counseling his clients but consequently being relegated to lower-responsibility positions in many instances [Montserrat 2013]. In sum, the difficult dilemma of these employees was to resolve the stark opposition between the interests of their superiors and of their clients.

A common perspective found in this group is that they were just doing their job, which was to sell financial products, so that the problem lay in the excess of trust and financial illiteracy of the client, combined with “the incompetence of bank managers” [Tarazona 2012]. In fact, some bank employees, including branch managers, were tricked to believe in the good health of many financial products their superiors recommended to distribute [Montserrat 2013]. However, Montserrat also describes that many of them often did take advantage of their clients, clearly abusing their trust and incurring in very irregular and abusive practices [Montserrat 2013]. For example, José Luis Sánchez Sierra, manager of a branch for 17 years, explains in a TV interview the use of quasi-fraudulent techniques of persuasion, the sale of toxic products at any cost, the signature of mortgages without the presence of a public notary (which is illegal) or the sale of mortgages to people who could not even understand Spanish [Sánchez Sierra 2012]. For Sánchez Sierra, bank employees were forced to incur in these practices in order not to lose their jobs, which even include giving a minimum amount of paperwork to the client in order to prevent further complaints or going to court [Sánchez Sierra 2012]. The rule was to “never empathize with the client”, so that betraying her trust could be much easier [Sánchez Sierra 2012].

This sector came under heavy fire when credit dried out and unemployment soared, leaving many in debt who now hold them responsible of their problems. Since the outbreak of the crisis, depressions and mental problems have skyrocketed among bank employees, who now receive death threats and are physically harassed and humiliated [Quelart 2012]. For example, two employees were murdered in a bank branch in Olot, Catalunya [Quelart 2012]. Many of them feel now extremely guilty –for example José Luis Sánchez Sierra- as they often ignored or obviated the true scope of the toxic financial products they sold. For instance, preferred stocks, which the banks issued as an irregular, last-resort measure to capture liquidity at the beginning of the crisis. Preferred stocks seized the savings of many unaware citizens, who now cannot retrieve them [Quelart 2012, Montserrat 2013]. Now some of these employees have even been ostracized by their families [Quelart 2012].

EXPERTS

By experts I denote economists, financial commentators, political scientists or economic correspondents who exert as public figures to some degree by publishing informed opinion in media. Rather than existing in the void, their opinions are socially situated depending on the information that arrives to them through the lines of the network of social relations within which they are embedded. Experts within the ideological spectrum between liberal free-marketeers and leftists such as social democrats are usually criticized by their opponents in terms of bad faith or ignorance about “how society really works”, respectively. Instead, their approaches towards this internal conversation, rather than being ill-willed or misinformed, are in fact quite independent and unbiased, to the extent that they preserve a considerable agency as academics. However, their perspective is critically dependent on their own social position, as it inevitably construes the information they are able to access and thus the opinions they form based on it. It is interesting to relate this to the strong form of the rational-expectations hypothesis in economics, which states that the economic agents in the theoretical model are assumed to possess all the available information to the modeler. Consequently, the theoretical model becomes in fact highly informative of the modeler’s subjective opinion, including her social position.

Just like in Ezquiaga’s description of the bubble as a gift economy, some experts became enthralled by its “magic”, while others did not: while the former failed to anticipate the bubble (as they found themselves deeply entangled in it), the latter warned of it, but

were not paid attention precisely because they were not participating in it. In this direction, Stiglitz –an expert, economics professor at Columbia University and former World Bank chief economist- recounts an enlightening anecdote, regarding the social structuration of the perception of the 2001-2008 bubble:

“When the bubble breaks, everyone says ‘who could have predicted it?’ I was at a meeting in Davos in January 2008: the bubble had broken the preceding August, though the optimists were still of the view that it would have little consequence. As I and a couple of other colleagues explained how the bubble had developed and what its breaking meant, a chorus of central bankers in the front row chimed in: ‘no one predicted it’, they claimed. That claim was immediately challenged by the same small band that had been talking about the bubble for several years, but the central bankers were, in a sense, right: *no one with credibility in their circle challenged the prevailing view, but there was a tautology: no one challenging the prevailing view would be treated as credible. Sharing similar views was part of being socially and intellectually acceptable*”
[Stiglitz 2010, italics are mine]

For instance, Miren Etxezarreta, an economics professor at the public Universitat Autònoma de Barcelona (UAB), espoused a leftist perspective within the political spectrum, due to which she became, in the aftermath of the 1985-1992 bubble, very critical of the 1992 Maastricht treaty and the socio-economic impact of the Barcelona Olympic Games (ie a mega-project). Through the Taifa seminar of heterodox economics, which she founded, she became very active in Barcelona’s grassroots social movements: for example, against the 2004 Fòrum de les Cultures, one of the largest bubble-like projects in Barcelona. Because of this involvement, she was quick to learn on the ground about the imbalances created by such particular model of economic development, as soon as late 2004: overspecialization in construction, alarming increase of house prices (without describing it as a bubble), stagnation of real wages and boost of business profits [Taifa 2005]. If Etxezarreta soon realized the problematic nature of the increase in house prices was to become aware of the economic difficulties and large mortgage debt that the working-class families faced in order to access to housing.

In contrast, economics professor Xavier Sala-i-Martin, at Columbia University (PhD in Harvard), relativized in a July 2004 interview the magnitude of the increase in housing prices, which had been steady since 1998: “Why is bad that housing prices

increase? People are then richer.” [Sala-i-Martin 2004]. In this sense, Sala-i-Martin perceived the bubble from the perspective of the owners of real estate assets as an investment or a source of income rather than as a mere house to live in. The former were actually of higher economic class [Alvaredo and Saez 2009] and largely benefited from the increase in house prices, as Sala-i-Martin noted. In fact, Sala-i-Martin espouses free-market ideas more in agreement with bankers and political elites and also takes part in the Davos World Economic Forum as special economic adviser. Further, his ideological and social proximity to financial and political elites also concedes him a greater presence in the media than Miren Etxezarreta (both private, partially owned by banks [Cafè amb Llet 2014], or public, controlled by politicians). His perception of the bubble as something advantageous is well explained by his own social positioning. In the interview, discussing Aznar’s rapprochement to the US, he added, “in life, if you want to fare well, you have to be next to the people who rule” [“En la vida, si quieres que las cosas vayan bien, tienes que estar con los que mandan”, Sala-i-Martin 2004].

GRÁFICO 1. Cobertura mediática de la burbuja inmobiliaria en España: 2000-2008

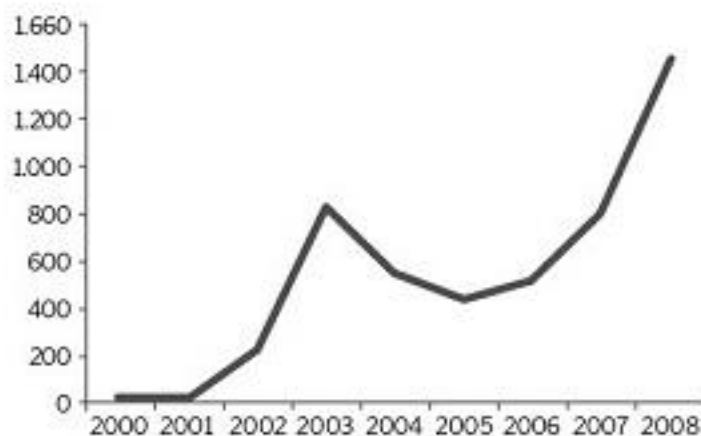


Figure 6: Media coverage of the real estate bubble [from Illueca 2014]

Media coverage of the housing bubble

Manuel Illueca, professor of finance at Jaume I University, analyzes the evolution in frequency of the term “burbuja inmobiliaria” [real estate bubble] in the print media, to find a gradual increase, with a very clear peak in 2003. According to Fama’s efficient-markets hypothesis, the media displays a critical role in the economy as the channel of much economic information that is quickly integrated by the collectivity of investors.

However, Illueca notes that in Spain, just like in the US, financial journalism succumbed to the same herd behavior attributed to investors during a bubble [Illueca 2014]. In fact, this is explained by how information and opinion is distributed over the population, which is ultimately through social lines, including journalists. The relationship between media and real estate firms was often of reciprocation, as the media profited much from informing about the firms that profited from the increase in house prices, “generating a similar mechanism to the Stockholm syndrome” [Illueca 2014]. In this direction, Illueca argues that the 2003 peak corresponds to the ongoing debates within the contested 2004 elections between Rajoy (PP) and Zapatero (PSOE, to win the latter). Then the PSOE heavily denounced the existence of an economic bubble: for example, future minister Miguel Sebastián or, even more surprisingly, future central banker Fernández Ordóñez, who after the victory quickly assumed once again that there was no bubble [Barrón 2012]. For Illueca, this is a sign of the gradual imposition of the point of view of political-financial elites (also over the PSOE, which was the election underdog), which was quickly assumed by the PSOE (the underdog in the 2004 elections) and then by the media until the crisis broke out [Illueca 2014].

The socially structured perception of the bubble is crucial in its formation, which lies in the self-defeating character of “Stiglitz’s tautology”. For a bubble to keep afloat, the perception that it exists (ie there is overvaluation) must be scarce. In contrast, when the belief that there is a bubble spreads above a threshold, then a majority realizes that there is overvaluation, so that the bubble pops up and prices collapse. This is the elusiveness of economic bubbles: they are ultimately a social formation, camouflaged under the price mechanism. In this sense, social structure fuels this dynamics by exerting an endogenous, unstabilizing pressure on prices: for instance, Sala-i-Martin enjoyed a much greater voice in the media than Etxezarreta, but it is the latter who could have warned that prices were rising excessively and thus stabilized them. Instead, Sala-i-Martin legitimated and perpetuated the increase in house prices.

Another source of legitimation that experts provide is in terms of structural reforms they recommend to policy-makers. Once again, the effect of social structure is amplifying, as the experts that are given a greater voice in the media are the ones that tend to recommend speculogenic policies in agreement with political and financial elites. For instance, when Spain was still in crisis after the collapse of the 1985-1992 bubble, Olivier Blanchard (now chief economist of the IMF) published with Jimeno an op-ed in major paper *El País* that suggested “an exercise in imagination” [Blanchard and Jimeno 1994]:

a tremendously successful Spanish economy in future 2005 after a particular set of policies had been implemented. Blanchard and Jimeno wrote,

“The Banco de España and the international organizations recommended a deregulation of the labor market as an only alternative for economic improvement. Now after ten years of sustained growth, unemployment rate has reduced to 5% and real wages have increased at the same rhythm than productivity, by a 15%.” [Blanchard and Jimeno 1994]

The policies Blanchard and Jimeno strongly advised to follow were explicitly pro-market and focused mainly on labor. Franco’s Falangism had imprinted a corporatist, protectionist character to Spanish labor legislation, something that Spanish free-marketeers have always willfully insisted on overturning, arguing that it would reduce unemployment. After three decades of intense reforms towards labor liberalization, any trace of Francoist corporatism vanished [Powell 2001]. The result is unprecedented job insecurity [*precariedad laboral*]: between 1992 and 2007, over a third of Spanish workers had a temporary contract, the highest rate in all Europe [Llaneras and Galindo 2013]. Currently, 90% of the newly signed contracts are temporary. Further, only 18% of young people had a job considered decent according to the criteria of the ILO [Llaneras and Galindo 2013].

Consequently, what Blanchard and Jimeno recommended were not policies that pursued a healthy economy but to unleash a bubble, which -in effect- would greatly reduce unemployment, but only for a short time and ultimately leaving the economy in tatters, in addition to widespread job insecurity. While Blanchard and Jimeno only guessed correctly the reduction in unemployment, real wages actually stagnated so that any increase in productivity went to business profits, which skyrocketed further attracting foreign investment and credit to fuel the bubble []. In this sense, the expansion of the free market in Spain displayed clearly Polanyian traits, as economic liberalization caused an intense social dislocation [Polanyi 2001]. Yet the deregulation of the labor market is still one of the main points in the agenda of the Spanish free-marketeer. When Rajoy pushed for the greatest labor deregulation in Spanish history during his mandate (2011-present), experts in the liberal tradition predicted an increase in employment due to lowering hiring costs, including severance pay. Instead, employment dropped (partly because it was incentivized to lay off, which they already acknowledged [Bentolila et al 2012]). Then it

stagnated, with minor reductions due to emigration (Amparo González Ferrer estimates that 700,000 people have left Spain between 2008 and 2012 [Prats 2014]).

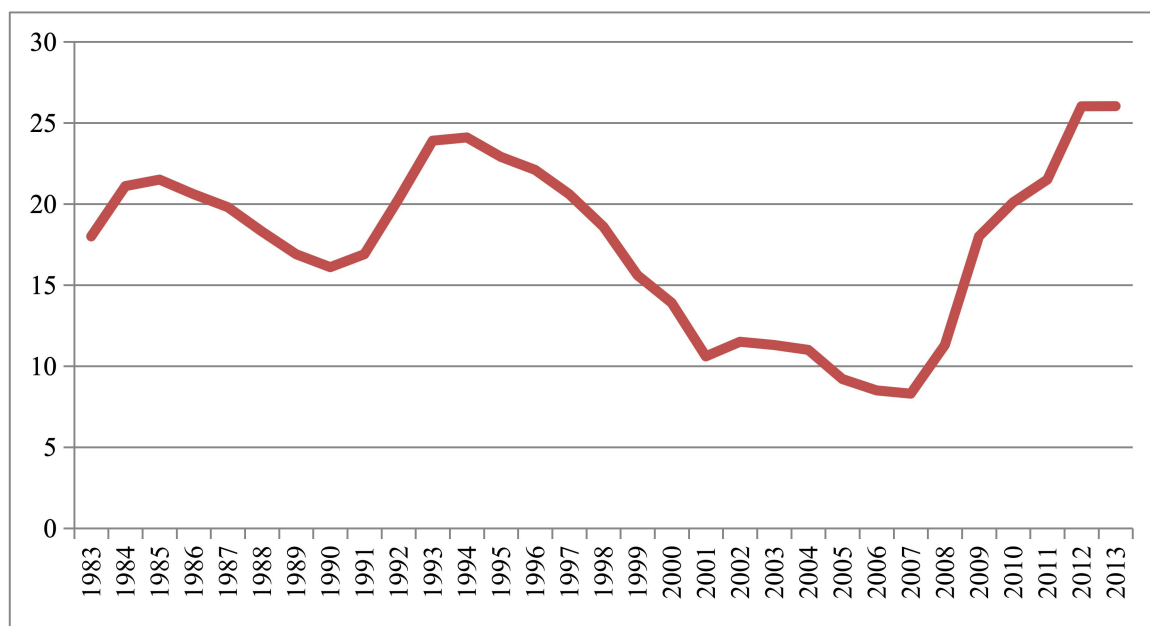


Figure 7: Unemployment in Spain (1983-2013) with the two bubbles (1985-1992, 1998-2008)

The problem of most analyses of this kind is that they provide standardized policy-making recipes learned and researched within the academic domain but that fail to realize the empirical particularities of each case, as Mitchell noted on his study on the performativity of economics [Mitchell 2005]. Jeffrey Sachs, once one of the most active advocates of free trade and globalization, acknowledged this flaw when delivering economic advice to Bolivia [MacKenzie, Muniesa and Siu 2007]. Sachs realized that Bolivia's high altitude completely shapes the Bolivian economy, a critical factor that is often neglected in general economic analysis. In a similar vein, the excessive focus on labor deregulation in Spain only emulates the debate on the minimum wage in the US without measured critical calculation, just like the adoption of a new style in financial business as criticized by Puerto Ducet. Most of these analyses obviate the particularities of the Spanish economic model and prefer instead focus on an abstract free market that Spanish policy-makers should imitate. For instance, they obviate the role of the bubble outburst in destroying unemployment: half of all jobs lost between 2008 and 2010 were in the sector of construction, according to official statistics [EPA 2010]. In this direction, they also obviate that labor legislation alone cannot explain geographical variations in the unemployment rate, which ranges from 16.6% in the Basque country (relatively unaffected by the real estate bubble) to 36.3% in Andalucía, a difference of 20 points.

Fedea

Among the most enthusiastic supporters of the liberalization of the labor market (through the implementation of a *contrato único*, a contract neither indefinite nor temporary) there is Fedea [*Fundación de Estudios de Economía Aplicada*, Foundation for Studies of Applied Economics], a liberal think tank ideologically and socially close to Partido Popular, founded by Luis Ángel Rojo (central banker between 1992 and 2000) and generously funded by the central core of Spanish business: all major banks (Santander, BBVA, Sabadell, La Caixa, Bankia, Banco Popular), Abertis (construction), Telefónica (communications) and Repsol and Iberdrola (energy). Some of their prominent members were Luis Garicano (economics professor at London School of Economics and one of the candidates to become Rajoy's minister of the Economy), Jesús Fernández-Villaverde (Penn Economics) and Tano Santos (Columbia University). Their social position within the political economy of the bubble is similar to Sala-i-Martin's: in this sense, Juan J. Dolado, a Fedea member, relativized the scope of the crisis as late as May 2008 [Dolado 2008], which was already evident for large segments of the population.

Garicano, Fernández-Villaverde and Santos have always kept an active public presence, which have used to endorse extensive liberalizing structural reforms [for example, Fernández-Villaverde et al 2012 in *El País*]. This provided Rajoy's government a powerful source of legitimation before most of the population to support their policies. However, the Rajoy cabinet does not tend to implement the full scope of the reforms demanded by Fedea [Bentolila et al 2012], but only the part of them that clearly benefits business and political elites, yet still using their academic credentials as a source of legitimation, which inevitably puts the academic independence of Fedea under heavy fire. However, Garicano, Fernández-Villaverde and Santos maintained their critical stance towards structural reform, writing in Fedea's popular blog *Nada es Gratis*. Every labor reform has been criticized by the Fedea think tank: for Fedea, some parts of the reform go in the right direction, while other things are always still left for reform. However, what Fedea commentators fail to realize is that reform does not constitute a socially neutral act, but is instead crucially political: if a government does implement certain reforms and does not implement others is because of the political and economic interests entrenched in it. However, such political motivations are always enshrouded under a mask of technocratic neutrality, conceived as "regulations of the market".

While Garicano, Fernández-Villaverde and Tano Santos were politically useful for Rajoy during the former PSOE government, they became more problematic under his own mandate. Rajoy then successfully pushed for their removal before the Fedea sponsors. Now Garicano and Fernández-Villaverde write in another blog (Hay Derecho), which is close to UPyD, a recent centrist political party.

HOMEOWNERS

Given the long Spanish history of high homeownership rates (above 80% since the nineties, among the highest in the EU), it has been frequently claimed that Spaniards have a deeply entrenched “property tradition” [Palomera 2013], attributed to their “southern culture” [Cabré and Módenes 2004], and often presented as a transhistorical trait deeply ingrained in “the Spanish DNA” [Colau and Alemany 2012]. As Palomera notes, while this discourse has no historical basis, these explanations, repeated ad nauseam and transformed into hegemonic “common sense”, have functioned as screens which conceal the key role that the state plays in structuring the real estate market [Palomera 2013].

As already been shown, the massive supply of state-subsidized housing for private ownership under the Francoist regime had a very clear short-term political motive: the payment of monthly installments was a mechanism to tame the working classes, since workers’ demands could motivate the loss not only of one’s job but also of one’s home [López and Rodríguez 2010, Palomera 2013]. After Franco’s death, public housing projects were abandoned and since the eighties constitute a minimal fraction of the housing market [Naredo and Montiel Márquez 2011]. Further, the 1985 Boyer decree (named after the minister of the Economy, Miguel Boyer) liberalized rent contracts by abolishing the obligation of the extension of rental contracts on the landlord’s side and limiting their term to five years, adding insecurity to rental tenants [López and Rodríguez 2010, Colau and Alemany 2012]. The underlying rationale was typically supply-side: for Boyer, it would liberate the restrictions on supply so that prices would decrease. Instead, a housing bubble was unleashed, as families came to prefer ownership to rental as a safer option [López and Rodríguez 2010]. In addition, the 1994 decree introduced the legal possibility of one-year rent contracts.

With minimal public housing, insecure rent contracts, steadily decreasing unemployment, tax deductions to home purchases and record low interest rates, private ownership through a mortgage in order to access to a home appeared a very reasonable

option. This was further incentivized by the constant insistence in the media by financiers, politicians and experts that guaranteed that ownership was the best option [Colau and Alemany 2012]. In addition, increasing job insecurity and the reduction of social benefits (low relative to the EU average) made a home a safe investment against an uncertain future, in agreement with Kemeny [1981] and Castles [1998], who observe a correlation between a high rate of homeownership and a weak welfare state. For Colau and Alemany [2012], the mortgage soon became a symbol of status, akin to professional success, that certified the transition to adulthood, while renting constituted a symptom of failure and inferiority. For Cabré and Módenes [2004], homeownership in Spain was a strategy individuals and families adopt to achieve or maintain the social and economic status of average Europeans.

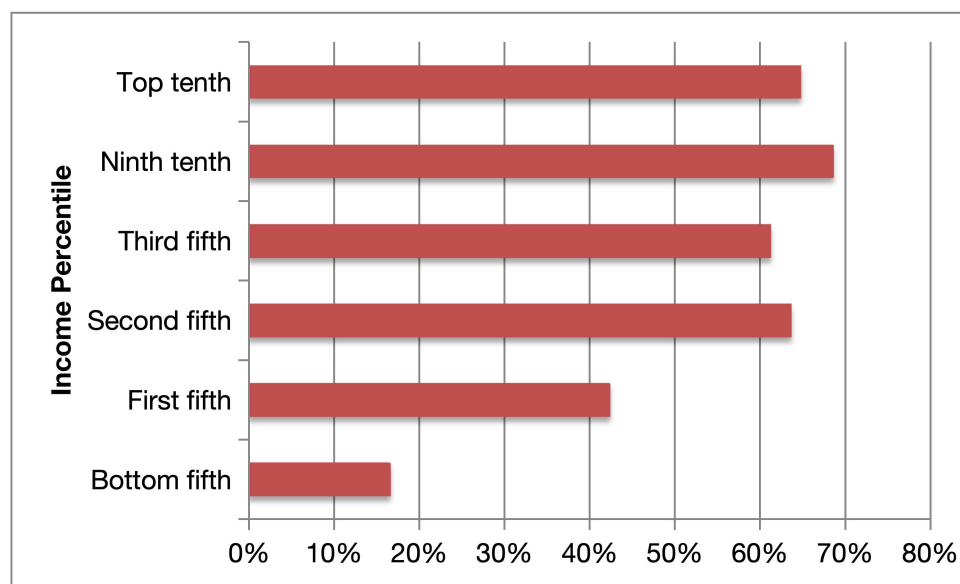


Figure 8: % of indebted households by income percentile (2008) [EFF 2010]

In order to facilitate home ownership, financial deregulation in the mortgage market reduced borrowing constraints in the households [Barrios García and Rodríguez Hernández 2008]. The Mortgage Market Act of 1981 authorized commercial banks to grant mortgages and extended both their length and maximum legal loan-to-value percentage. It also introduced the possibility of turning them into marketable securities, something which was formalized in 1992 with the Law of Securitization Vehicles and given a new impulse in 1998 with further deregulation [Carbó et al 2011]. Consequently, in an economic context of stagnated wages, residential mortgage debt to GDP ratio grew from 23% to 62% [EMF 2009]. Between 1997 and 2007, mortgage debt increased from 55% to 130% of the disposable income of families. On average, in 2005 mortgage debt

represented 34% of a family's income to pay off in 30 years, well beyond the reasonable standards of a maximum of 30% to pay off in a third of a working life [Vergés 2011].

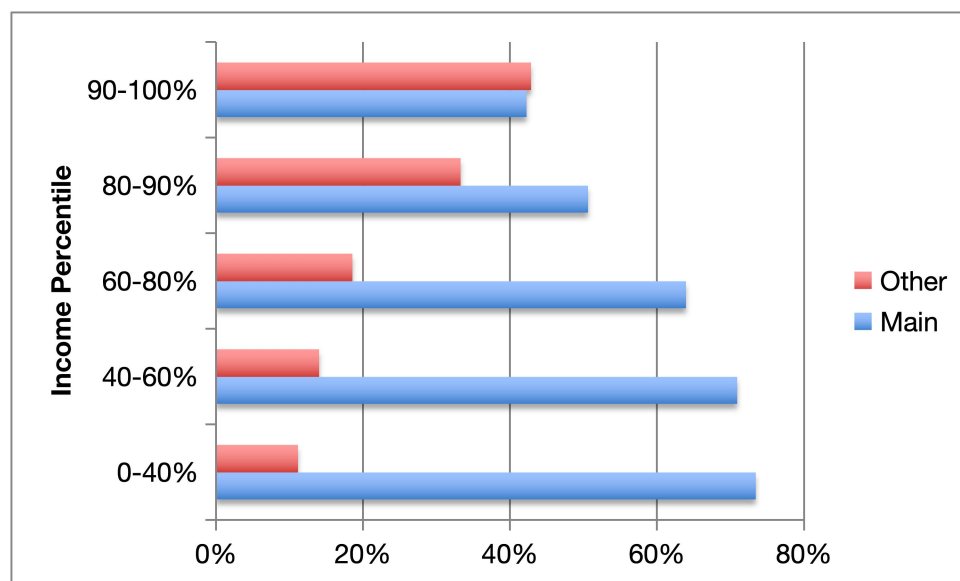


Figure 9: % of debt of indebted households for main and other residence by income percentile (2008) [EFF 2010]

A 2008 survey of the Banco de España sheds light on the class structure of household debt [Encuesta Financiera de las Familias, EFF 2010]. Figure 6 shows the percentage of indebted households by income percentile, which clearly indicates that higher-income households tended to borrow more. Figure 7 plots the purpose of debt in indebted households by income percentile, either for the main or other residences. Figure 7 clearly shows that the poorest indebted households devoted nearly all their debt to pay their main residence, while the wealthiest devoted it to buying other residences, maybe for speculation. In sum, all families participated in the bubble, but according to very different rationales according to their income: the poorest got less indebted and if they did they devoted it to pay their main home, while the wealthiest borrowed more in order to buy other residences and engage in speculation. The data also helps illustrate how social structure shaped the perception of the bubble. For instance, when discussing household debt, some Spanish commentators repeat a common trope, “all of us lived beyond our means”, and characterize the bubble as a “booze party” [for example, Fedea member Tano Santos in Santos 2011]. According to the data of the Banco de España, if Tano Santos had this particular perception of the bubble, it must be so because he belongs to the top income percentiles in Spain. Instead, with skyrocketing house prices (an increase of 180% between 1998 and 2008) and stagnating real wages, a large segment of the population had no other option than mortgage debt in order to access to their main home.

In the last years of the bubble, some financiers, politicians and experts started acknowledging an exuberant overvaluation in house prices, but deflected the fear of a sudden outburst by fueling the theory of a “smooth landing” [The Economist 2006, Colau and Alemany 2012]. Instead, when credit suddenly collapsed in 2008, the destruction of employment ensued at an unstoppable rhythm (figure 5), starting in the construction sector but quickly spreading over the entire economy due to the stark drop in demand and business confidence. It cannot be emphasized too strongly that the average homeowner lacked the information and expertise to predict this contingent scenario against the wealth of informed opinion of economists and journalists favoring a smooth landing. In this sense, even though families were clearly overleveraged, the actual source of mortgage delinquency must be found in overspread joblessness (around 27% in 2013). According to a survey by Colau and Alemany [2012], nearly 70% of the respondents in problems to pay the mortgage attributed them to unemployment (both accumulation of debts and the increase in interest rates and fees, 40%). This is confirmed by looking at the actual cause of evictions: according to official sources, in 2013 58.23% of evictions were due to problems with rent contracts, while 36.23% were due to problems with the mortgage [Pérez Mendoza 2013].

A massive wave of evictions ensued, accelerated by PSOE’s reform devoting more resources to the justice courts in charge and restricting tenants’ rights (for example, a two-month unpaid rent or mortgage would suffice to start the eviction process) [Ríos 2009]. The underlying rationale was again typically supply-side: it would quickly liberate supply and stabilize the market [Ríos 2009]. Instead, between 2008 and November 2012 more than 360,000 evictions took place, a rate of 5.82 evictions per 1,000 inhabitants per year, an eviction every 9 minutes [Colau and Alemany 2013], while 3.4 million of houses are still empty in 2013 [Martínez 2013]. Spanish mortgage regulation is very favorable to the bank or caja [Colau and Alemany 2012, Puerto Ducet 2012]. Mortgages in Spain are full recourse, offering great protection to the lender. This means that banks have the possibility to recover the full value of the loan, but also fees and penalties [IMF 2012]. For example, in a historic sentence, the European Justice Court claimed that Spanish legislation left borrowers defenseless against abusive clauses, based on a 1993 EU directive that Spanish banks basically overlooked. After visiting Spain in 2006, Miloon Kothari, UN Special Rapporteur on adequate housing, concluded in a critical report that the right to housing (which is recognized in the Spanish Constitution) had been systematically violated with the complicity of the public administration [Colau and

Alemany 2012]. Spanish legislation excludes the possibility to return the home as a way to pay off the mortgage, the “dación en pago” [Vergés 2011, Colau and Alemany 2012, Puerto Ducet 2012]. Consequently, the delinquent is evicted out of his home with his family, without a job in a context of overspread unemployment and a debt that may even exceed the current market value of their home. For Vergés [2011], this constitutes a clear form of debt bondage.

According to the Colau and Alemany survey [2012], Bankia (16%), BBVA (12%) and Santander (10%) lead the ranking in evicting financial entities²⁷, which altogether with the problematic credit to developers and construction firms have amassed a huge amount of toxic assets. Despite the attempts of the Rajoy government, banks have kept these overvalued assets in their balance sheets, while freezing the flow of credit to small businesses and families in spite of the generous credit line from the European Central Bank. For some economists such as Sala-i-Martin, this inevitably leads to a post-crash Japanese scenario, with a stagnated economy and “zombie” banks. Currently, ECB credit is flowing exclusively to banks and big businesses but does not trickle down to the economy. Coupled with fierce slashes to the welfare state (ie the so-called austerity) is generating a de facto dual economy with little social mobility, something economist Tano Santos warned in a recent lecture.

Maizolí and Cristina

The stories of Cristina Fallarás and Maizolí help illustrate the homeowner’s perspective on the bubble. Maizolí, 40 years old, arrived to Barcelona in 1989 and formed part of a group of Dominican women that worked as internal domestic service living in Ciutat Meridiana, the most impoverished of all Barcelona neighborhoods [in Palomera 2013]. Built at the end of the 1960s by a private developer with subsidies from the Francoist regime, it constitutes the “complete opposite of a gentrified or touristy neighborhood” [Palomera 2013]. In 2002, these women started learning through their social relations about estate agencies (usually belonging to prominent developers) that were offering affordable apartments for sale [Palomera 2013]. As Palomera emphasizes [2013], these businesses were reinforced by and benefited from the buyers’ social networks along friendship and nationality lines, as they emerged as informal intermediaries in the process, even acting as brokers. Palomera recalls an informant: “At

²⁷ This contradicts another common trope surrounding the Spanish bubble, that overleveraging affected the cajas the most because they were subordinated to politicians, in contrast to the banks.

the time they were selling more apartments than apples in a fruit shop! Agencies were full of immigrants”. A fraudulent practice, yet extremely widespread [Colau and Alemany 2012] in which these agencies engaged was crossed guarantee, that is, using two different buyers as mutual guarantors.

As an old-timer, Maizolí eventually managed to save a small amount of money and got different loans to buy two apartments in Ciutat Meridiana, which she paid by subletting all the rooms except hers. Palomera describes the ambiguous and flexible forms of reciprocity and patronage Maizolí established by helping relatives and friends immigrate to Barcelona. “In the process”, he highlights, Maizolí “could increase their prestige and achieve enough moral authority to expect their protégés to reciprocate whenever it was required” [Palomera 2013]. Within this social network, favors (ie gifts) and economic transactions became virtually indistinguishable, reinforced by a strong sense of solidarity that sometimes could become coercion. The crisis eventually changed Maizolí’s attitude. She was forced to look for more reliable renters, which she chose among other people than fellow nationals or relatives who did not expect any reciprocation on a national or familiar basis [Palomera 2013].

At the other extreme of the labor market there is Cristina Fallarás, who exposed in a book her personal account of a 4-year process of an eviction [Fallarás 2013]. Originally she enjoyed a considerable amount of cultural capital and a generous salary as vice-director of a newspaper (3000€ per month plus collaborations, which triplicates the Spanish median). Fallarás, 45 years old, was laid off in the beginning of the crisis, in the eighth month of her second pregnancy. Initially, the unemployment subsidy, with a maximum duration of two years, kept her afloat, but gradual impoverishment set in and took their toll in form of shame, introversion and depression. During the boom she had contracted a mortgage to pay her apartment, located in centric Barcelona. She was offered the option to cancel the debt by giving the apartment away, but she refused, as she could not afford to lose her home with two children at school. Fallarás devoted no budget for her own food, while friends and relatives paid the utility bills until water and electricity were cut because her social relations also became unemployed. Fallarás argues that she was unable to pay the mortgage only because of her joblessness, which was completely unforeseeable given her situation. Fallarás’ account sheds light on the scope of the Spanish crisis, as her salary was in the upper scale of wagedworkers, but also on the social solidarity woven to counteract it. Precisely, her book represented an

inflection point in Fallarás' life, as it attracted much publicity and now she enjoys numerous collaborations in many media, including TV.

The drama of an eviction

The economic crisis has had a critical impact on the mental health of the population by increasing the frequency of mental health disorders (depression by 19.4%, anxiety by 8.4%) and alcohol abuse among primary care attendees in Spain, particularly among families experiencing unemployment and mortgage payment difficulties [Gili et al 2012]. Precisely, about one-third of the overall risk in the consulting population's attendance with mental health disorders could be attributed to the combined risks of household unemployment and mortgage payment difficulties [Gili 2012]. Research in Catalunya by Moya and Esteve [2013] shows a 45% increase in visits to psychological therapists, with a significant rise in the diagnoses of loss of control (by 19%), the idea of suicide (by 15%), the deterioration of familiar ties (13%), apathy (10%) and depression (10%). Psychological attendees show complete despair, defenselessness, inability to cope, no long-term perspective, lack of self-worth and shame, while they entertain the idea of suicide [Moya and Esteve 2013]. For Talarñ, they perceive themselves as the victims of an aggression, even though "they feel they carried out their social duty, what they had been told and now they find themselves in such misery without being responsible for it" [Talarñ 2013]. Talarñ describes that a growing diagnose among eviction victims is post-traumatic stress disorder: "they relive the event at night, with flashback episodes in which the event seems to be happening again and again – when the judicial agent and the police come home to evict them", coupled with sleep problems, fear, impotence, health problems and emotive isolation [Talarñ 2013].

Precisely, at the same time that the wave of evictions took their toll on the population, a growing, two-sided perception set in among victims. First, mortgage debt was not "carved out in stone", but a social convention that could be deprecated. In other words, there is a gradual realization of the nature of debt as a commodity fetish. Second, the eviction, which the institutions presented as a mere administrative formality to resolve a breach in an economic contract, is increasingly viewed to constitute instead an act of large-scale, violent aggression by the state and financial entities: after all, an eviction consists of kicking poor families out of their homes in a very violent way (often using anti-riot police). This contradiction between the perceptions from public administrators and victims of evictions clearly evokes Arendt's description of Eichmann's banality of evil,

taking into account that bank employees and police officers justified their actions as “we only complied orders”. As a response, citizens facing problems to pay mortgage installments have organized around the *Plataforma de Afectados por la Hipoteca* [PAH, Platform of Mortgage Victims], a grassroots, horizontal, non-hierarchical organization that relies on open assemblies. After 5 years since its foundation in February 2009, 205 PAH nodes have spread all over the country, stopping more than 1,000 evictions through nonviolent resistance and occupying 20 buildings for homeless families [Blanchar 2014]. Victims of evictions view state support as an obstacle, while they consider that the PAH, conceived as a social network of solidarity and mutual support, offers them effective means to cope with their situation through collective counseling and action [Colau and Alemany 2012, Talam 2013]. In fact, the state administration often refers these cases to the PAH [Colau and Alemany 2012]. Many citizens in problems to pay their mortgage became victims of psychological abuse by bank employees. Guarantors of a third-party mortgage, suddenly facing not only the homelessness of their relative but their own, suffered the harassing tactics of aggressive branch managers.

In 2012, the PAH published a book that publicized this problematic situation, which emphasized that the bubble should actually be re-conceived as a large-scale institutional fraud [Colau and Alemany 2012], implying that institutions systematically took advantage of the trust citizens had put in them. For Colau and Alemany, spokespeople of the PAH, this fraud relied on widespread malpractice by banks and the necessary collaboration of politicians and experts to create a speculogenic institutional framework and an atmosphere of *pensée unique* focused on the insistent promotion of homeownership by any means necessary [Colau and Alemany 2012]. Now the PAH attempts to reverse the Spanish mortgage legislation in order to protect the interests of the borrower and the right to housing, enjoying great popularity among the population [Blanchar 2014]. If one assumes that a financialized economy is mediated by credit as a social relation (rather than the wage), then the PAH constitutes itself as a trade union, as it collectively struggles to bargain with banks.

CONCLUSIONS

In this paper I tried to reconcile a rational-expectations approach with the idea of an economic bubble, showing that individuals immersed in it acted “rationally” given the information available to them, but this information flowed through the lines of social structure. A more sophisticated analysis based on the social context of decision-making,

that is, a political economy, showed that the Spanish bubble was never exuberantly irrational: people did not live beyond their means, neither the indebted families nor the political, economic and academic elites. Instead, they made their economic decisions embedded within a very particular social logic that was unfathomable for the social outsider. The idealization of the market as an atomistic domain enshrouded how emerging social roles organized according to this logic, as well as failed to explain why agents exhibited such preferences, obviating the social complexity of human action. As the spokesman of a consumers' rights association said in a round table about the housing bubble, "I do not know Mr. Market and I have not spoken to him yet". Strictly, not even the Spanish business elites rationally pursued economic profit, but power and prestige, essentially social categories that fall beyond the domain of the market as envisaged by economic theory. I argued that the preferences of the agents are endogenous to their social context, rather than merely given, and are socially structured.

However, to say that economic agents pursued prestige or power –which they did– rather than strictly economic profit would only substitute the theoretical object of self-interest, while persisting on an undersocialized view of human action that is tautological. Further, some analyses in the institutionalist tradition would insist that trust is a necessary social baseline for economic transactions to take place. What the political economy of the bubble showed is that trust did not constitute the stable basis of any institutional framework. Instead, it was precisely what economic agents constantly manipulated and played with. Trust is only what agents produce in their social relations by generating positive expectations to reciprocate, increasing the vulnerabilities of the social other in the process. A strategic actor weaves social relations and takes advantage of the structure of the network by exploiting information asymmetries in form of structural holes [Burt 2009]. In other words, a well-structured position allows the strategic agent the privilege to default on expectations to reciprocate at the expense of the vulnerable, peripheral social other, who remains at his mercy. Prestige and power accrues the former, while the latter is stigmatized.

In this paper, I have tried to show this strategic behavior being constantly enforced during the Spanish bubble and crisis, at all levels but to various degrees: Emilio Botín, Enrique Bañuelos and Maizolá, acting as Malinowski's tribal bankers. Banks, and not homeowners, were bailed out, precisely because banks are banks, without being tautological. Banks are intermediaries in fetishized, social credit, that is, formal favors that generate trust (ie business confidence), which they ultimately manipulate for their benefit

at the expense of others. Homeowners are led to believe that their debts are carved out in stone, while they are just a mere social convention, though extremely reinforced by the expectations of others: credit is a commodity fetish. To abolish it –a default on debt– is a problem of collective action, as it would require the coordination of all these others to agree with a new set of practices. Precisely, both economic and political elites find themselves in better-structured positions because they are the ones that coordinate such centralized, collective action, either in state institutions or economic firms. This concedes them the privilege to let some down at their expense (ie the Homo Sacer): they are the sovereign.

In contrast to the notion of commodities, gifts imply a social dimension, a context: their character encapsulates the complexities and nuances of the total social fact. This is the reason that the Spanish bubble was never irrational exuberance, but a potlatch: a massive destruction of wealth unfathomable to the social outsider, unable to perceive the fierce social struggles for power and prestige underlying it. The bubble did not merely consist in real estate speculation and a surge in house prices. Instead, the real estate operations, financial mergers, construction of public works or mortgage contracts embodied social relations of power, social credit and prestige, just like in the potlatch. In the process, social structures emerged and evolved, undetected by a strict economic analysis.

After all, prestige, power, credit or trust are just forms of social capital. Indeed, as Marx said, capital is a social relation itself. By weaving social relations, social actors behave as if they were accumulating capital. As I have sought to demonstrate in this paper, their aggregate behavior ultimately shapes the dynamics of social structures in the form of booms and busts.

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